

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TPG PRESSURE, INC., *Complainant*

v.

OMNI LOGISTICS LLC AND EPIC FREIGHT SOLUTIONS LLC,
Respondents.

DOCKET NO. 22-31

Served: September 12, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION¹

I. INTRODUCTION

A. Overview

This proceeding began on November 29, 2022, when the Federal Maritime Commission (“Commission” or “FMC”) issued a notice of filing of complaint and assignment indicating that Complainant TPG Pressure, Inc. (“TPG”) had filed a complaint against Respondent Omni Logistics LLC (“Omni”). An amended complaint subsequently named both Omni and Epic Freight Solutions LLC (“Epic”) as Respondents, corrected Complainant’s name, and added new claims. The amended complaint alleges that Respondents violated the Shipping Act of 1984 (“Shipping Act”), sections 41102(c), 41104(a)(14), and 41104(a)(15). Amended Complaint at 8-14. After filing two unsuccessful motions to dismiss, Respondents filed their answer and affirmative defenses to the first amended verified complaint on May 2, 2023 (“Answer”).

TPG imports goods that are delivered to its customers for construction projects and used Epic as its non-vessel operating common carrier (“NVOCC”), a type of ocean transportation intermediary. In April 2021, Epic was acquired by Omni and became a wholly owned subsidiary. After a two-year period, Epic was consolidated into Omni. TPG alleges that both Epic and Omni are responsible for improper invoices and billing issues and that Respondents improperly invoiced TPG for demurrage and detention, storage, and chassis use for hundreds of containers. Respondents contend that Epic was the sole NVOCC for these shipments, the charges were proper, and TPG has not paid many of the invoices at issue.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

The evidence shows that TPG and Epic worked well together prior to the 2021-2022 timeframe. The timing of the problems coincided with the acquisition of Epic by Omni and also with unprecedented congestion in the shipping industry related to COVID. The result was an increase in demurrage charges imposed by third parties, which Respondents frequently passed on to TPG with a markup or “admin fee.” TPG required significant documentation, which Respondents struggled to provide timely. Respondents also threatened not to release certain containers until payments were made for other containers that had been delivered. TPG delayed or refused to provide payment for some invoices with disputed demurrage, including failing to provide payment for freight or other undisputed charges.

As explained more fully below, the evidence shows that Respondent Epic violated section 41102(c) and, after June 16, 2022, when the Ocean Shipping Reform Act (“OSRA”) was enacted, section 41104(a)(14), by imposing improper markups on demurrage charges and for coercive collection practices. However, the evidence does not establish that Respondent Omni was the common carrier that handled TPG’s shipments and it is therefore dismissed. In addition, TPG has not established other alleged violations of sections 41102(c) and 41104(a)(14), for example, that all the demurrage charges were improper, or a violation of section 41104(a)(15) invoice requirements, to the extent that Epic was an NVOCC passing through charges imposed by other entities.

The focus of this proceeding is on the alleged practices of the NVOCC Respondents. The Shipping Act, however, does not permit shippers to withhold payment to NVOCCs without cause. Disputes over certain charges, for example demurrage, do not justify nonpayment of freight or other non-disputed charges. When shippers improperly delay or withhold payments to NVOCCs, financial pressures can occur; however, the remedies available to the NVOCCs under the Shipping Act do not include adding charges or markups that are not disclosed in the NVOCC’s tariff or refusing to release other shipments.

In its amended complaint, TPG sought reparations in excess of \$1,222,123. Amended Complaint at 14. TPG reduced its damages claim to \$844,712.63 in its brief and to \$584,837.29 in its reply. Brief at 30-31; Reply at 40; Sur-reply Response at 4, 7-8. As explained below, TPG has only established improper charges of \$107,384.20, calculated by adding \$86,722.10 for improper markups and \$20,662.10 for coercive collection practices. However, because the improper charges are less than the amount TPG refused to pay Respondents, no reparations are ordered.

B. Procedural History

On October 28, 2022, the complaint was received by the Commission. On November 29, 2022, the Commission issued a notice of filing of complaint and assignment. On January 24, 2023, Omni filed a motion to dismiss the complaint. On February 9, 2023, TPG filed a response and a motion to amend the complaint to add Epic. On February 24, 2023, an order was issued allowing the amended complaint and denying the motion to dismiss as moot. On March 24, 2023, Omni and Epic filed a partial motion to dismiss the amended complaint. On April 25, 2023, an order was issued denying the second motion to dismiss. On May 2, 2023, Omni and Epic filed an answer and affirmative defenses.

On May 12, 2023, a scheduling order was issued and the parties began discovery. On August 2, 2023, October 18, 2023, and January 16, 2024, in response to requests from the parties, orders were issued revising the schedule of briefing and other deadlines. On November 3, 2023, and December 14, 2023, orders were issued on motions to compel.

On February 22, 2024, TPG filed a motion to accept the late filing, its brief (“Brief”), proposed findings of fact, Exhibit A analysis of documents supporting invoice charges, Basiri declaration, appendix in seven volumes, and motion for confidential treatment. On March 1, 2024, an order was served granting Complainant’s motion to accept its initial filings, which were one week late, and extending the subsequent deadlines.

On March 25, 2024, Respondents filed their opposition brief (“Opposition”), responses to TPG’s proposed findings of fact as Exhibit A, proposed findings of fact as Exhibit B, and an appendix including two excel spreadsheets.

On April 9, 2024, TPG filed its reply brief (“Reply”), responses to Respondents’ proposed findings of fact, a reply in support of its proposed findings of fact, Comprés and Burd declarations, a revised damages chart, and a revised shipment chart.

On April 30, 2024, Respondents filed a motion requesting leave to file a sur-reply with the proposed sur-reply (“Sur-reply”) attached and requested leave to submit supplemental documents. On May 15, 2024, an order to supplement the record was issued, denying without prejudice TPG’s motion for confidential treatment and granting Respondents’ request to file a sur-reply and supplemental documents. On May 20, 2024, TPG filed a petition for reconsideration of the sur-reply portion of the order.

On May 30, 2024, the parties filed a renewed motion for confidential treatment of certain specific documents (“Joint Confidential Treatment Motion”) and Respondents submitted their supplemental exhibits. On June 10, 2024, an order was issued granting the petition for reconsideration, granting leave to Respondents to file the sur-reply and supplemental exhibits, and granting leave to TPG to file a response to the sur-reply and supplemental exhibits. On July 3, 2024, TPG filed a response to the sur-reply (“Sur-reply Response”).

On July 26, 2024, in response to emailed requests from this office on July 12 and 19, 2024, TPG filed corrected exhibits properly marking confidential material, specifically in volumes IV and V of its appendix, and confirming that the other volumes could be made public.

C. Arguments of the Parties

TPG asserts that: the Commission has jurisdiction because Epic and Omni acted as NVOCCs; Epic and Omni violated Shipping Act section 41102(c) because they failed to observe just and reasonable billing practices; Epic’s and Omni’s actions and billing practices violated the OSRA Shipping Act sections 41104(a)(14), (15); and TPG properly substantiated its damages. Brief at 3-31; Reply at 8-40. In its sur-reply response, TPG asserts that TPG’s damages theory remains consistent and Respondents have failed to rebut it; Respondents’ supplemental evidence does not establish that they adhered to just and reasonable practices; and Respondents improperly invoiced TPG \$584,837.29. Sur-reply Response at 5-8.

Respondents contend that: TPG has the burden of proof for each of its claims and must prove its damages with reasonable certainty; Respondents did not violate section 41102(c) because Respondents' practices were reasonable and in accordance with industry standards; and Respondents are not liable under OSRA-22 because they merely passed through charges from ocean common carriers and Respondents are not otherwise responsible for the charges. Opposition at 3-35. In their sur-reply, Respondents contend that TPG submitted new evidence and raised new arguments about certain evidence that TPG did not raise in its opening brief; TPG quietly advances a new theory as to its damages that was not set forth in its opening brief; and TPG continues to claim damages for amounts that Respondents charged but which TPG has not paid. Sur-reply at 3-8.

D. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order "except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence." 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 98-102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or defenses thereto. Administrative adjudicators are "not required to make subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are 'material.'" *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent that individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are covered next, in part two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT ("FOF")

A. Relevant Entities

1. TPG

1. TPG is a corporation organized under the laws of the State of Texas with a principal place of business at 1003 Macarthur Blvd, Grand Prairie, TX 75050. TPG's Basiri Decl. ¶ 2.
2. Beza Basiri is the General Manager-FRP Products of TPG. TPG's Basiri Decl. ¶ 1.
3. TPG is a supplier and installation contractor of concrete, steel, fiberglass, and polymer pipes and structures used for drainage, sanitary, pressure, and trenchless applications. Products used by TPG are imported from outside the United States, including from such countries as Turkey, Colombia, and others. TPG's Basiri Decl. ¶ 3.

2. Epic

4. Epic was and is a limited liability company organized under the laws of the State of Wyoming, with a mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. CApp 10997.
5. Epic was started in 2011 by John Moran, CEO; Robert Reis, COO; and Yohanse Manzanarez, Executive Vice President of Sales. CApp 10213; CApp 10294.
6. Epic was a licensed NVOCC, with license number 027656NF, from on or about June 14, 2019, until March 10, 2023. Epic Freight Solutions LLC FMC Tariff No. 001 (“Epic’s Tariff”), CApp 10749-893; CApp 10997; Answer ¶¶ 5, 16.
7. Epic’s tariff was published and available to the public for a fee. Response to TPG Proposed Finding of Fact (“Resp/TPG PFF”) ¶5; CApp 10749-893.
8. Epic was also licensed as an ocean freight forwarder at all relevant times. Resp/TPG PFF ¶ 6.
9. The logo on the top left of Epic’s website includes a vessel among other forms of transportation. Resp/TPG PFF ¶ 7; *see e.g.*, CApp 10518.
10. Epic’s email signatures contained language stating:

Congestion in all the major ports (air and ocean) in North America has caused delays, diminished capacity, additional fees, surcharges including the standard per diem, demurrage, chassis, chassis splits, pre-pulls and weekend pickups/deliveries, and storage. As always Epic Freight Solutions will be very transparent throughout the entire process. We will communicate and address the situations as they arise. We will stand by our quote however cannot be responsible for the aforementioned accessorial as they simply cannot be anticipated. We appreciate your support during this latest wave of congestion as the world begins to open up businesses, that all call on North American ports.

CApp 10557.

11. Epic’s terms and conditions provided that the customer shall “be jointly and severally liable to [Epic] for payment of all freight, demurrage, detention and charges.” RApp 356 (Section 12(e)).
12. Epic’s terms and conditions further grant Epic “a general and continuing lien . . . on any property of the customer . . . coming into Epic’s actual or constructive possession . . . as to any unpaid charges.” RApp 356 (Section 13(a)).
13. Epic’s tariff states that Epic “shall have a lien on any and all property (and documents relating thereto of Merchant in its actual or constructive possession, custody or control or en route, for all claims for charges, expenses or advances incurred by Carrier in

connection with this shipment, or any previous shipment, of Merchant, or both, which lien shall survive delivery.” CApp 10842-43 (Item 23).

14. Epic’s tariff provides that “Tolls, Wharfage, Cost of Landing, and all other expenses beyond the port or terminal area are for account of the Owner, Shipper or Consignee of the cargo and all such expenses levied in the first instance against the Carrier will be billed in an equal amount to the Owner, Shipper, or Consignee of the Cargo.” CApp 10786.
15. Epic’s tariff provides that “at shipper’s request, carrier will arrange for inland transportation as shipper’s agent. All associated costs will be for the account of the cargo.” CApp 10786.
16. Epic’s tariff provides that: “Carrier does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCC), the VOCC, either directly or via the carrier, provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.” CApp 10861.
17. Epic’s tariff provides that: “Carrier does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading.” CApp 10863.
18. At the time Epic was retained to ship TPG’s cargo subject to this action, Epic maintained a public website where it advertised its shipping and freight services as “all in,” “door-to-door,” and “door-to-port” for “international shipping needs.” CApp 10518-20.

3. Omni

19. Omni was and is a limited liability company organized under the laws of the State of Delaware with its current mailing address at 3200 Olympus Blvd., Suite 300, Dallas, Texas 75019. Resp/TPG PFF ¶ 10; CApp 10997.
20. Omni was licensed as an NVOCC with license No. 18469 from at least June 14, 2019, until at least the date of the Notice of Filing of this action on November 29, 2022. Resp/TPG PFF ¶ 11; CApp 10720-48; CApp 10997.
21. Omni is also licensed as an ocean freight forwarder. Resp/TPG PFF ¶ 13; CApp 10513.
22. Omni’s tariff was published and available to the public for a fee. Resp/TPG PFF ¶ 12; CApp 10720-48.
23. Omni maintained a public website where it advertised its shipping and freight services as “Door-to-Port / Port-to-Door Services,” including “ocean freight” and “overseas shipping” for international shipping needs. CApp 10512-17.

24. Omni's website stated, in part:

Ocean freight experience you can trust.

Omni has the kind of ocean freight experience that you expect from a leader. We are an experienced ***Non Vessel Operating Common Carrier (NVOCC)*** for all major international carriers. Through our global network of experienced professionals and discounted contract pricing, we provide an integrated solution of ***ocean freight services***. As an ocean freight forwarder, Omni assigns cargo, arranges pickup and delivery locations and streamlines document management to guarantee the uninterrupted flow of goods.

Ocean freight transportation that does it all.

We offer a multitude of ocean freight transportation options, all designed and customized to fit your company's needs.

- Full Container Load Service (FCL)
- Less than Container Load Service (LCL)
- Multimodal Solutions
- Discounted Pricing Structures
- Fragile and / or Oversized Equipment Moves
- Specialized Container Services (e.g., Flat Rack, OOG, etc.)
- Project Cargo (Oversized/Non-Containerized)
- Customized Consolidation Programs
- Dangerous Goods Transportation
- **Door-to-Port / Port-to-Door Services**

CApp 10512-13 (bold in original).

25. Omni published its terms and conditions on its website on its own behalf and on behalf of its subsidiaries. CApp 10522-39 (Omni's BusinessTerms, ¶ 1 Definitions (B) "Company" shall mean Omni Logistics, LLC, its subsidiaries, affiliates, related companies, agents and/or representatives").

4. TPG's Relationship with Epic

26. TPG began working with Epic around 2015 or 2016. Resp/TPG PFF ¶ 19; CApp 10220.
27. Epic arranged for ocean transportation services, drayage, domestic motor carrier services, and customs clearance services for TPG. TPG Response to Respondents' PFF ("TPG Resp/RPFF") ¶ 1.
28. TPG would email Epic requesting a quote for a particular construction project, specifying the estimated number of containers, origin, and destination, and Epic would respond with the freight cost, pre pull cost, chassis cost and minimum days, handling fee, ISF charge, customs clearance charge, and wait time rate, as well as the terms (for example, door to door). TPG's Basiri Decl. ¶ 9; *see also, e.g.,* CApp 10122-200.

29. TPG requested supporting information about each charge; it was “a very detailed and at times complicated account,” requiring proof of delivery, in gate and out gate tickets, demurrage receipts, and customs entry summary. CApp 10687; CApp 10306-07; CApp 10669.
30. The information TPG required needed to be input manually. CApp 10689 (“every part of this account and all tasks are manual making it easy for mistakes to occur and tasks become very time consuming.”).
31. TPG’s General Manager, Mr. Basiri, wanted “enough supportive documents and a story or explanation to tell me why this -- these charges were assessed.” CApp 10404.

Tell me the story of what happened. Did your truck driver have an accident? Did he get sick? Did he get arrested for something? You know, what happened? Why did -- why did we have seven days of charge? And they -- they would always say something like, we -- we can’t get appointment to take it back or there’s congestion. There’s shortage of chassises [sic]. I mean, there – there’s some broad generic response. I never received any proper response.

CApp 10405.

32. Mr. Manzanarez testified about Thompson Pipe (TPG) that he had “not had a customer before or since that has required the – the documentation that Thompson Pipe has required” and stated in a January 6, 2022, email that “Historically, we have had a great partnership with Thompson Pipe. They require several pieces of documentation on delivery. This is needed for audit purchases. Unfortunately, we, our team, has not managed this process well this year.” CApp 10222.
33. Epic would provide a written quote via email and most quotes provided by Epic included language indicating that all shipments were subject to Epic’s Terms and Conditions. *See, e.g.,* CApp 10186; *but see* CApp 10143.
34. Epic’s services to TPG were generally provided on a door-to-door basis. CApp 10301; *see also, e.g.,* CApp 10122-200; TPG’s Basiri Decl. ¶ 14.
35. Respondents paid third-party service providers—including NVOCCs, VOCCs, customs house brokers, motor carriers, and railroads—out of pocket for the transportation of TPG’s freight from abroad—generally, Colombia or Turkey—to a port within the United States or Canada and, ultimately, a final destination in the United States at TPG’s customers’ job sites. CApp 10319; CApp 10323.
36. Respondents received invoices for ocean freight from their international agents and prepaid such agents for ocean freight on TPG’s behalf. CApp 10323.
37. Once Respondents took control of the cargo, TPG did not have control of its cargo or the way in which it was going to be transported; Respondents handled everything, and the charges assessed by third parties, including steamship lines, were passed to TPG. CApp 10299; CApp 10319.

- 38. Epic was listed as consignee, notify party, or entity to contact for delivery on draft bills of lading and on arrival notices. CApp 10300-01.
- 39. TPG was listed as both consignee and notify party on some arrival notices, and Epic's Colombian agent was listed as shipper on some arrival notices. See RApp 141; RApp 280-285. Omni was identified as a "destination agent" on some bills of lading later in the parties' relationship. See, e.g., CApp 1451; CApp 1460.
- 40. Respondents received compensation only from TPG, not from carriers or other parties. CApp 10980-95; CApp 10904-18.
- 41. On April 13, 2022, in trying to sort out the delivery order for a container, Omni sent an email stating that "Epic is the broker." RApp 321; see also RApp 327 ("Epic Freight Solutions had the clearance release on 9/2[/2021].").
- 42. Throughout the entirety of TPG's relationship with Respondents, all shipments arrived at their final destinations. CApp 10397.

5. Epic's Relationship with Omni

- 43. On April 2, 2021, Omni purchased Epic and Epic became Omni's wholly owned subsidiary. CApp 10212; CApp 10895-903; Answer ¶ 14 (admitted); CApp 10996-11007.
- 44. Epic's Terms and Conditions continued to be incorporated into Epic's quotes to TPG after April 2, 2021. See, e.g. CApp 10142; CApp 10158; CApp 10170.
- 45. Under the April 2, 2021, operating agreement, Epic remained a separate business entity. CApp 10895-10903; CApp 10218; RApp 75-76.
- 46. As part of the Epic acquisition, all Epic Partners were subject to an earn-out provision where a certain gross profit component had to be met by the end of April 2023. The consequence of not meeting this target would be no cash payout, potential job jeopardy, and "not fulfilling our obligation." CApp 10217.
- 47. The earn-out agreement included a requirement that Epic "had to operate as an entity without additional resources, and hit those earn-out numbers." CApp 10218.
- 48. The earn-out agreement impacted compensation; however, the acquisition would have continued if the earn-out goal was not reached. CApp 10217.
- 49. Some key Epic employees, including David Ikemoto, John Moran, and Yohanse Manzanarez, became Omni employees as of April 2021. CApp 10213-14; CApp 10217; CApp 10292; CApp 10169-10171.
- 50. In general, there were no changes in the decision-making hierarchy at Epic pre- and post-acquisition. CApp 10218.

51. There “was no co-mingling for support on the account with issues from anybody at Legacy OMNI,” rather the Epic and former Epic employees would resolve issues in their accounts. CApp 10326.
52. There is no evidence of any overlap in the clients served by Epic and Omni. “Epic had its own clients and Omni had its own clients.” CApp 10218.
53. Before “the transition and merger, Epic had used an outside firm to do accounting and collections. And as part of the transition and the merger, that firm was let go, and Epic started to rely on Omni’s accounting and collection team.” CApp 10217-18; CApp 10306.
54. Respondents assert that in early 2022, Omni began providing back-office accounting support to Epic. CApp 10320. However, the record includes invoices requesting that payment be remitted to Omni as early as December 11, 2020. CApp 1.
55. At about the time of the acquisition, Epic’s invoices started listing payment directions to Omni. TPG’s Basiri Decl. ¶ 7.
56. By at least June 16, 2021, Epic’s emails contained a footer noting Epic was partnering with Omni “[a]s a wholly owned subsidiary.” *See, e.g.*, CApp 11017.
57. Some emailed quotes to TPG were signed by former Epic employees who listed Omni in their signature block and as part of their email address. However, the shipping quote in the text of the email states: “All shipments are subject to Epic Freight’s Terms and Conditions” and “Epic Freight Solutions liability is not responsible for consequential damages.” *See, e.g.*, CApp 10169-70.
58. Hapag-Lloyd invoices were addressed to Epic until approximately May of 2022. *See, e.g.*, CApp 3934-39; CApp 3943; CApp 3954; CApp 4673; *but see* CApp 3385-90, CApp 4534 (Omni (May 12, 2022)).
59. Around June or July of 2022, Epic employees moved into the Omni facility and began meeting the Omni team. CApp 10316-17.
60. Until April 2023, “[Epic’s] structure internally and [its] responsibilities” did not change; “everything was business as usual, and [we] still continued to operate” as Epic. CApp 10218.
61. Epic’s employees are now “fully blended with the Legacy Omni team.” CApp 10326.

B. Charges and Payments

62. Respondent’s rate quotes to TPG typically stated that “All shipments are subject to Epic Freight’s Terms and Conditions” and included:
 - Freight cost: variable
 - Pre Pull: \$125

- Chassis: \$45/day - 2 Day Min
- Handling: \$45
- ISF: \$35
- Customs Clearance: \$105
- Wait time: \$95/hr (1 hr free)

See, e.g.: CApp 10126-29; RApp 262.

63. Respondents were required to pay demurrage to ocean carriers and terminals using programs such as PayCargo or CargoSprint via credit card. TPG Resp/RPFF ¶ 96; CApp 10307; CApp 10319; RApp 175.

64. On February 1, 2021, TPG emailed Respondents, stating:

I reviewed and approved most of invoices that were sitting on my desk. Sorry for processing these late. As you know Jenelle was working with David to get proper back up for all extra chassis and demurrage fees.

While they seem to be excessive and not a TPG issue, given current condition of the ports, I've approved them for payment. ACH will be processed tomorrow.

In future, please make sure you notify us of any additional charges prior to incurring and provide options for us, so we can make an informed decision together as a team.

I also noticed some per diem charges on some of the invoices (see attached). Some are marked up 10% admin fee. We've never had to pay per diem and I don't believe your proposal and T&Cs specify potential per diem charges. . . . I'm holding these for further review. Or if you remove these charges, I can process them all.

CApp 11008 (paragraphs combined).

65. On November 3, 2021, Respondents sent an email with TPG copied stating that "As you know the congestion at the terminal is crazy high right now. But we are doing our best to navigate and get these containers to you." RApp 269.

66. Mr. Manzanarez testified that "COVID was not easy for anybody in transportation," explaining:

So during this time, there was unprecedented congestion at every major port in -- in America. . . . 140 ships waiting out in the -- the port of Los Angeles. We had 37 miles of backup of railroads in the Chicago area. The entire system was stressed and broken, and there was no communication coming from a majority of our partners in getting -- gathering this information. It became awful hard to get documentation from partners and providers when they were struggling to fulfill their own obligations in transportation. It -- I know you are implying that -- that COVID is a -- is an easy scapegoat. It was -- it was the

world I operated in, and it was extremely stressful and very challenging to conduct business in that environment. This specific example that you were talking about, not being able to receive invoices, a lot of it alluded to the -- the -- the documentation that we were unable to receive from our partners and compile the information to give him the invoices necessary.

CApp 10232-33.

67. Mr. Manzanarez further testified that: “we’re in a tremendous and unprecedented environment with . . . the global shipping” and the “charges and invoicing that happened during COVID were unusual and challenging to -- to manage, and that was the -- that was the challenge. Getting that information from organizations who did not, A, break it down like that, B, were significantly understaffed.” CApp 10224-25.
68. On January 26, 2022, Respondents internally discussed raising rates to cover costs, noting that handling is pure profit and that pre-pull and chassis charges cover most of their charges. RApp 261-62.
69. On January 26, 2022, Mr. Manzanarez sent an email to others at Omni stating “I spoke to Beza. I told him that we would be charging 5% on pass through costs moving forward.” RApp 261.
70. On March 15, 2022, TPG emailed Mr. Manzanarez, in part stating that “Why is there a 5% Admin charge on Chassis charges? You [and] I discussed starting to add 5% admin fee for pass through charges. Chassis charges were always a fixed rate.” RApp 225.
71. On April 5, 2022, Epic created a “standard operating procedures” (“SOP”) document for TPG’s shipments. CApp 11015; CApp 10317. The SOP specifically mentioned a 5% administrative fee for pass-through costs, which was implemented in January 2022. CApp 11015; RApp 2-3; RApp15-16; RApp 263; RApp 225.
72. On April 13, 2022, TPG and Respondents received an email from a booking agent in Germany stating that:

Also, one of the main problems here is, that there was (and still is) a heavy trucker shortage in the USA which can lead to heavy delays in delivery. You probably know from the media, that there were times in which a lot of ships had to wait in front of US ports for several days or even weeks to be unloaded and that containers accumulated in US ports due to lack of capacities, which also lead to a worldwide container shortage. Unfortunately, the carriers do not accept responsibility for any costs emerging from that, such as demurrage and storage. These costs are on account of the cargo (i.e. shipper or consignee).

RApp 320.

73. On May 19, 2022, Respondents told TPG that “Please note that we get hit with an admin fee when we pay the carrier/terminal, it is a minimal amount but when you mix that with

our 5% processing fee, it will lead to the backup demurrage invoice not matching exactly dollar for dollar what our invoice reflects.” RApp 175.

74. The credit card receipts typically show critical information, including the container number, steamship line, vessel, voyage, discharge date, FTE date, and payment information. *See, e.g.*, CApp 2565-66.
75. Respondents also provided TPG with proofs of delivery, which “confirm that the actual freight was delivered and signed off by [TPG’s customers’] job site.” CApp 10306.
76. For the ship canal project, TPG’s customer refused to take delivery of five containers for five months leading to substantial storage and chassis charges; however, Respondents successfully negotiated to waive \$232,500 in detention charges. RApp 234.
77. Respondents assert that TPG presently owes Respondents \$390,336.80. RApp 3 ¶ 21.

C. Coercive Collection Communications

78. On May 17, 2022, Bill Heathcock, Omni’s Vice President of North American Operations, emailed TPG, subject “Omni Logistics/TPG Receivables,” stating:

Mr. Basiri, from this point until we conclude our relationship with TPG I will be taking over communications on behalf of Omni Logistics.

A summary in general terms of our present situation:

- Open A/R due Omni is approx. \$835K (attached)
- Delivered freight that has been delivered as instructed and that is actively being invoiced is \$845K, invoices will be completed by this Friday May 20th
- Freight that is “on the water” or otherwise in transit is approx. \$480K (this figure could change dramatically depending on TPG)

Approx total above is almost \$2.2M of which \$1.7 Million has been delivered

No additional freight for TPG will be delivered until Omni receives the \$1.7 Million owed for freight handled and delivered, so any additional charges incurred due to delays in your remittance to Omni to conclude our relationship will be TPG’s responsibility.

After the \$1.7M is received, we will deliver the remaining 81 containers or so as they arrive on a “cash” basis paid and received in advance.

Suggest wire transfers to expedite the process, and can provide the necessary information if your Accounting department does not possess this already.

CApp 10705; CApp 10227.

79. On May 18, 2022, TPG responded to Respondents, stating:

If it is Omni's position to hold TPG's freight hostage - TPG will immediately re-produce the products being shipped and have them delivered by another party to replace ALL pipe that you have indicated "no additional freight for TPG will be delivered until Omni receives the \$1.7 Million".

TPG highly recommends that Omni retracts its position and provide TPG, immediately, an abundance of assurance that it will deliver the balance of freight due from Omni as soon as possible. Omni's position of holding TPG's freight hostage will only compound the problems Omni has already created with TPG and its clients. While it is unfortunate that Omni has taken an unnecessarily aggressive and defensive tone because TPG questioned Omni's efforts with regard to our account, TPG remains hopeful to an amicable settlement of our differences. To that end TPG requests a meeting with you and TPG executives at our Grand Prairie offices. As time is of the essence, we are available anytime tomorrow May 19th, 2022.

Resolution to matter must be clear by 3:00pm CST tomorrow, otherwise TPG will consider Omni's failure to abide by its obligations to be made in bad faith and TPG will hold Omni accountable for any **and all** extended costs and damages, such as, re-manufacturing the product, additional shipping cost (by 3rd party), liquidated damages, etc. that TPG becomes subject to as result of Omni's inaction.

TPG is hopeful to resolve matter before it Escalades [sic] any further.

Please let us know your availability and who will attend.

CApp 10704.

80. Respondents emailed TPG on May 18, 2022, stating:

It's a simple issue to remedy, pay what you owe us, we are not a bank, we are a transportation company, and you have far exceeded any reasonable credit limits.

Attached is an updated A/R statement which is now up to \$1,068,707 and climbing, attached is also an update on current status of active and delivered containers and remittance/wire instructions.

We wish no other end than to collect monies due and conclude existing transactions - the end result is entirely in your hands, pay us what you owe us for services rendered, and all will flow smoothly.

I have 30 minutes for a call... it will not change our stance, every day you delay payment is incurring more unnecessary charges which Omni will not pay.

CApp 10703-4.

81. On May 19, 2022, TPG emailed Respondents stating:

Thank you for taking my call. I'm hopeful we can resolve this by tomorrow. TPG's first payment in the amount owed of \$228,536.76, can be made as early as tomorrow. This will bring our account current. We have missed the deadline for any wire transfer today. All other invoices for the services performed would be paid in accordance with our course of dealing of 30 days. Your accounting department can work with my team to ensure we have agreed dates for when payment will be due.

All payments shall be contingent on Omni providing written assurances that it will continue processing our shipments and deliver the cargo without delay or disruption by Omni, and that Omni abides by its assurances to perform. We understand that congestion may affect deliveries to and from the port and our expectation is that Omni will act reasonably and efficiently when performing its obligations.

Please note we are still missing required documentation for some of the invoices (see attached list) and in reviewing our records, we do not show receipt of invoice LGB1545214-00. Please forward those documents to me for review and approval. If those documents have been previously emailed, please send me copies of those prior emails so that I may make any correction on my side to ensure such lapses are corrected.

Feel free to reach out to me, if you have any questions.

CApp 10701; *see also* CApp 10227-28.

82. During this timeframe, three containers had arrived but had not yet been delivered by Respondents. The bill of lading for the three withheld containers is BGA0324110. CApp 6611.
83. APM Terminals charged \$4,700 in demurrage for each of these three containers, paid through May 10, 2022. CApp 6611.
84. The first container, CMAU4830227, was picked up by Mecca Trucking on May 10, 2022, delivered on May 27, 2022, and the empty container returned on June 1, 2022. CApp 3559-61; RApp 181.
85. For the first container CMAU4830227, Respondents billed TPG \$1,265 in chassis fees, \$4,947.36 in demurrage charges, and \$765 in storage for total invoice charges of \$6,977.36. CApp 3557.
86. The second container, CMAU4265316, was picked up by Mecca Trucking and delivered on May 27, 2022. CApp 6427; CApp 6611.

87. For the second container CMAU4265316, Respondents billed TPG \$1,265 in chassis fees for 23 days, \$4,947.37 in demurrage charges, and \$765 in yard storage for 17 days for total invoice charges of \$6,977.37. CApp 6427.
88. The third container, DRYU9980059, was picked up by Mecca Trucking on May 10, 2022, and delivered on May 27, 2022. CApp 3554; CApp 6611; RApp 179-81.
89. For the third container DRYU9980059, Respondents billed TPG \$1,265 in chassis fees, \$4,947.37 in demurrage charges, and \$765 in storage for total invoice charges of \$6,977.37. RApp 179.
90. The total amount invoiced by Respondents to TPG for these three withheld containers was \$20,932.10. CApp 3557; CApp 6427; RApp 179.

D. Improper Markups Chart

91. Respondents submitted an excel shipment chart and damages chart with their initial brief and then a revised shipment chart and revised damages chart with their reply brief with the same Bates numbers. CApp 11020 (shipment); CApp 11019 (damages).
92. “Demurrage claims for shipments to Nova Scotia, Canada with further transport to Chicago, IL by rail are excluded from the computation” in the revised damages chart. TPG Reply, Burd Declaration ¶ 6; TPG Resp/RPFF ¶¶ 59-64.
93. In its revised damages chart, TPG also removed claims for damages due to the ship canal project, where the customer refused to take delivery of five containers for five months. TPG Reply, Burd Declaration ¶ 6; TPG Resp/RPFF ¶¶ 65-88.
94. TPG’s revised damages chart, demurrage sheet shows that for invoice 7217739 00, TPG was invoiced \$59,789.47 for 18 containers, while the receipts show APM Terminals charged \$56,800. CApp 11019; CApp 6424-26. The markup is the difference of \$2,989.47.
95. Different invoices may refer to the same container. For example, invoices 7203111 00 and 7203111 01, both of which are included in TPG’s revised damages chart, both pertain to container HLBU3359426 and show that the demurrage charge of \$682.50 was refunded in full. CApp 4172; CApp 5008. When the record shows that there was no improper markup by Respondents, as here, the container and invoices are not included in the improper markups chart.
96. Even when credit card fees were shown on credit card receipts, Respondents often invoiced TPG a higher amount. For example, for container BEAU6227719, the Maher Terminals receipt shows \$5,008 paid plus a “Credit Card Processing Fee” of \$199.82 for a total of \$5,207.82; however, Respondents invoiced TPG \$5,468.21 in demurrage for this container. CApp 8294; CApp 7469. The markup is the invoiced amount of \$5,468.21 minus the demurrage paid of \$5,207.82, which equals a markup of \$260.39.

97. Similarly, for container CSNU6785143, the Maher Terminals receipt shows \$858 plus a \$34.23 “Credit Card Processing Fee” for a total of \$892.23 plus Mecca Trucking demurrage charge of \$382.68 plus \$30 “Admin Fee” for a total of \$412.68; however, Respondents invoiced TPG demurrage of \$1,650.84 plus demurrage of \$412.68. CApp 8011, 9109, 9965, 9968. Therefore, the markup is the invoiced amount of \$2,063.52 minus the demurrage paid of \$1,304.91, which equals a markup of \$758.61.
98. The improper markups chart below shows the (A) container number, (B) demurrage invoiced by Respondents to TPG, (C) demurrage paid by Respondents to third parties, (D) markup, (E) TPG invoice number, and (F) citations to the evidence.
99. The markup is calculated by taking the demurrage invoiced by Respondents to TPG minus the demurrage paid by Respondents to third parties (columns B – C = D). The amounts in column D are then added to calculate the improper markup of \$86,722.10.
100. Only invoices listed in TPG’s revised damages chart were considered in compiling the improper markups chart as those were the charges for which TPG requested reparations. CApp 11019 (revised).
101. For the twenty-one containers where there was no evidence cited to by either party reliably showing the amount paid by Respondents for the relevant container, the markup is calculated as the total amount invoiced to TPG. *See, e.g.*, CApp 6003-4 (container CMAU7895089).
102. The improper markups chart identifies and calculates the improper markups that were established by the evidence submitted and cited by the parties:

<i>Container Number</i>	<i>Demurrage Invoiced to TPG</i>	<i>Demurrage Paid by Respondents</i>	<i>Markup</i>	<i>TPG Invoice Number</i>	<i>Cite</i>
TCNU6161224	\$325.50	\$0.00	\$325.50	7203093 00	CApp 4650
HLXU6589482	\$546.00	\$390.00	\$156.00	7203102 00	CApp 4159; RApp 382
UASU1052116	\$546.00	\$520.00	\$26.00	7203104 00	CApp 4162; RApp 390
HLBU1567415	\$546.00	\$520.00	\$26.00	7203105 00	CApp 5552; RApp 393
UETU5817572	\$1,060.50	\$1,010.00	\$50.50	7203107 00	CApp 5555; RApp 398
HLBU2073818	\$955.50	\$0.00	\$955.50	7203113 00	CApp 4653
TEMU7560743	\$672.00	\$640.00	\$32.00	7203114 01	CApp 3491; CApp 3498
TGHU8918221	\$672.00	\$640.00	\$32.00	7203115 01	CApp 3499; CApp 3498
TCLU8216822	\$682.50	\$650.00	\$32.50	7203118 00	CApp 5775; RApp 425
FFAU3390796	\$2,063.62	\$1,985.00	\$78.62	7203132 00, 7203132 01	CApp 3725; CApp 9955; CApp 3727; CApp 3732; CApp 9963
CSNU6785143	\$2,063.52	\$1,304.91	\$758.61	7203133 00, 7203133 01	CApp 8011; CApp 9109; CApp 9965; CApp 9968
CSLU6309509	\$1,650.94	\$858.00	\$792.94	7203134 00	CApp 7710; CApp 5032

TRHU5455660	\$1,650.94	\$1,572.32	\$78.62	7203135 00	CApp 3887; RApp 439; RApp 440
TRHU7261535	\$1,650.94	\$1,572.32	\$78.62	7203138 00	CApp 4053; CApp 4055; CApp 4056
BEAU5769741	\$1,963.00	\$858.00	\$1,105.00	7203139 00	CApp 5561; CApp 5032
BEAU5787909	\$2,090.24	\$1,572.32	\$517.92	7203140 00	CApp 5562-63; RApp 460-1
TGBU8721729	\$1,650.94	\$858.00	\$792.94	7203141 00	CApp 5565; CApp 5032
FSCU7267786	\$1,616.00	\$858.00	\$758.00	7203219 00	CApp 5568; CApp 5032
TRHU5347856	\$5,468.21	\$0.00	\$5,468.21	7203220 00	CApp 5812
BEAU6227719	\$5,468.21	\$5,207.82	\$260.39	7203222 00	CApp 7469; CApp 8294
OOCU8978862	\$5,468.21	\$5,207.82	\$260.39	7203224 00	CApp 5814; CApp 5823
TCNU5013500	\$5,468.21	\$5,207.82	\$260.39	7203225 00	CApp 3895; CApp 3899
TRHU7270917	\$5,468.21	\$0.00	\$5,468.21	7203227 00	CApp 4210
BEAU5766085	\$5,468.17	\$5,207.82	\$260.35	7203228 00	CApp 3900; CApp 3902
CSNU6601457	\$5,468.21	\$0.00	\$5,468.21	7203229 00	CApp 5827
DFSU7463187	\$5,467.35	\$5,207.82	\$259.53	7203230 00	CApp 5034; CApp 5042
CSNU7886415	\$5,468.21	\$5,207.82	\$260.39	7203231 00	CApp 4663; CApp 4665
TGBU4774090	\$5,468.21	\$5,207.82	\$260.39	7203232 00	CApp 6942; CApp 7962
GCXU5367877	\$4,331.25	\$4,125.00	\$206.25	7203243 00, 7203243 01	CApp 5149; CApp 4998; CApp 3905
CMAU6927875	\$4,567.50	\$4,125.00	\$442.50	7203244 00	CApp 5043; CApp 3905
CMAU6828996	\$4,567.50	\$4,350.00	\$217.50	7203245 00	CApp 3295; CApp 4761
SEKU5605343	\$4,961.25	\$4,800.00	\$161.25	7203246 00	CApp 3296; CApp 4761
BEAU6100339	\$4,567.50	\$4,350.00	\$217.50	7203247 00	CApp 3293; CApp 5160
BEAU6256110	\$4,567.50	\$4,350.00	\$217.50	7203248 00	CApp 3300; CApp 4761
TRHU7860451	\$5,276.25	\$5,025.00	\$251.25	7203249 00	CApp 3917; CApp 4761
FFAU4263522	\$4,331.25	\$4,125.00	\$206.25	7203250 00	CApp 3298; CApp 4761
CAAU5027430	\$5,040.00	\$4,800.00	\$240.00	7203254 00	CApp 3297; CApp 4761
TRHU8260718	\$5,276.25	\$5,025.00	\$251.25	7203255 00	CApp 4760; CApp 5115
BSIU8068597	\$5,040.00	\$4,800.00	\$240.00	7203256 00	CApp 5050; CApp 3905
HLXU8270405	\$2,916.38	\$2,810.00	\$106.38	7203381 00	CApp 5055; CApp 3934; CApp 3937; CApp 3943
UACU5373513	\$2,194.50	\$2,090.00	\$104.50	7203384 00	CApp 3932; CApp 3934; CApp 3937; CApp 3943
UACU5985566	\$871.50	\$830.00	\$41.50	7203385 00	CApp 4672; CApp 4477
UACU5522849	\$3,202.50	\$2,270.00	\$932.50	7203386 00	CApp 3949; CApp 3934; CApp 3937; CApp 3943
TCLU5095476	\$409.50	\$390.00	\$19.50	7203389 00	CApp 3967; CApp 3943
AMFU8822403	\$1,627.50	\$1,550.00	\$77.50	7203393 00	CApp 5165; CApp 4477
HLBU1290315	\$1,161.50	\$1,010.00	\$151.50	7203394 00	CApp 4677; CApp 4477-80
BMOU4426700	\$1,816.50	\$1,730.00	\$86.50	7203395 00	CApp 4816; CApp 4477-78
DFSU7048925	\$304.50	\$160.00	\$144.50	7203397 00	CApp 4827-28; CApp 4829
HLBU3326715	\$546.00	\$520.00	\$26.00	7203398 00	CApp 4469; CApp 4470

FCIU7469643	\$871.50	\$830.00	\$41.50	7203399 00	CApp 4476; CApp 4678
Not on invoice	\$1,097.25	\$0.00	\$1,097.25	7203601 00	CApp 5792
ONEU0280464	\$420.00	\$0.00	\$420.00	7203603 00	CApp 5178
APHU7297242	\$315.00	\$300.00	\$15.00	7204002 00	CApp 5123; CApp 5130-31
TRHU8556187	\$2,100.00	\$2,000.00	\$100.00	7204003 00	CApp 6040; CApp 4842-43
BEAU6082512	\$2,402.90	\$2,000.00	\$402.90	7204004 00	CApp 4395; CApp 4842-43
TLLU7764959	\$2,402.40	\$2,000.00	\$402.40	7204005 00	CApp 4400; CApp 4842
BEAU4118961	\$2,100.00	\$2,000.00	\$100.00	7204006 00	CApp 4838; CApp 4842-43
BMOU6071003	\$2,100.00	\$2,000.00	\$100.00	7204007 00	CApp 4844; CApp 4842-43
SEGU4745156	\$2,100.00	\$2,000.00	\$100.00	7204012 00	CApp 4183; CApp 4842-43
TGBU6810452	\$2,100.00	\$2,000.00	\$100.00	7204015 00	CApp 4848; CApp 4842-43
BHCU5024009	\$2,100.00	\$2,000.00	\$100.00	7204018 00	CApp 4853; CApp 4842-43
CSNU7421969	\$535.00	\$500.00	\$35.00	7204071 01	CApp 4235; CApp 4266
CSNU8495694	\$660.00	\$625.00	\$35.00	7204072 01	CApp 4241; CApp 4266
FFAU3560491	\$535.00	\$500.00	\$35.00	7204076 01	CApp 3830; CApp 4266
FSCU8591660	\$660.00	\$625.00	\$35.00	7204077 01	CApp 4247; CApp 4266
CSNU6030131	\$660.00	\$625.00	\$35.00	7204078 01	CApp 4252; CApp 4266
TRHU4378071	\$410.00	\$375.00	\$35.00	7204082 01	CApp 4256; CApp 4266
OOCU8283736	\$660.00	\$625.00	\$35.00	7204083 01	CApp 4261; CApp 4266
TRHU4446031	\$410.00	\$375.00	\$35.00	7204084 01	CApp 3835; CApp 4266
BSIU9546094	\$305.55	\$300.00	\$5.55	7204088 00	CApp 4219; CApp 5130-31
FFAU3996905	\$105.00	\$100.00	\$5.00	7204089 00	CApp 8286; CApp 5131
TLLU5008280	\$326.55	\$100.00	\$226.55	7204179 00	CApp 4223; CApp 5131
APHU7024227	\$210.00	\$200.00	\$10.00	7204181 00	CApp 5199; CApp 5130
CSNU6521876	\$525.00	\$500.00	\$25.00	7204903 00	CApp 4864; CApp 4870
Not on invoice	\$735.00	\$0.00	\$735.00	7204907 01	CApp 4871
TGHU6652106	\$735.00	\$700.00	\$35.00	7204910 00	CApp 4879; CApp 4870
OOLU 9209663	\$525.00	\$500.00	\$25.00	7204911 00	CApp 4885; RApp 698; RApp 695-96
TGBU4912199	\$2,633.65	\$2,508.24	\$125.41	7204937 00	CApp 4893; CApp 4899
CMAU5640427	\$105.00	\$0.00	\$105.00	7205135 00	CApp 4231
TCNU5037055	\$105.00	\$100.00	\$5.00	7205142 00	CApp 5138; CApp 5142
TLLU4292191	\$105.00	\$100.00	\$5.00	7205685 00	CApp 5069; CApp 5131
TCNU3505291	\$15,504.91	\$14,766.58	\$738.33	7205689 00	CApp 3507; CApp 3510
TCNU3605984	\$655.14	\$623.94	\$31.20	7209510 00	CApp 4120; RApp 761
CSNU6248057	\$105.00	\$100.00	\$5.00	7209832 00	CApp 3700; RApp 769
CMAU5798794	\$656.78	\$623.94	\$32.84	7210043 00	CApp 3848; CApp 8921
CMAU7461396	\$1,263.15	\$1,200.00	\$63.15	7210609 00	CApp 3853; CApp 3854
TRHU5885300	\$1,282.98	\$0.00	\$1,282.98	7210826 01, 7210830 01	CApp 3514; CApp 3517
CMAU4728405	\$1,196.63	\$200.00	\$996.63	7210839 00, 7210839 01	CApp 7282; CApp 3519; CApp 7284
Not on invoice	\$524.04	\$0.00	\$524.04	7210840 01	CApp 3522

CMAU5880372	\$420.00	\$400.00	\$20.00	7210843 00	CApp 4507-09
Not on invoice	\$524.04	\$0.00	\$524.04	7210843 01	CApp 3524
Not on invoice	\$758.94	\$0.00	\$758.94	7210850 01	CApp 3527
SEGU5315988	\$210.00	\$200.00	\$10.00	7210852 00	CApp 5429; CApp 5433
CMAU6647560	\$655.14	\$623.94	\$31.20	7210929 00	CApp 8965-66; CApp 5441
CMAU7631764	\$655.14	\$623.94	\$31.20	7210930 00	CApp 3718; CApp 3721
TCNU6497230	\$11,137.33	\$10,606.98	\$530.35	7210935 00	CApp 4513; CApp 4517-18
CMAU4503435	\$11,137.33	\$10,606.98	\$530.35	7210937 00	CApp 8866; CApp 4527-28
TCLU5749812	\$157.50	\$150.00	\$7.50	7210950 00	CApp 7254; RApp 914
Not on invoice	\$610.53	\$0.00	\$610.53	7210958 00	CApp 6177
TCNU582639	\$315.00	\$300.00	\$15.00	7211369 00	CApp 4564; RApp 1044
BEAU4020933	\$2,105.26	\$2,000.00	\$105.26	7211527 00	CApp 3630; CApp 3400
FCIU9205681	\$1,578.94	\$1,500.00	\$78.94	7211584 00	CApp 3634; CApp 3640
TCNU7501313	\$1,263.15	\$1,200.00	\$63.15	7211743 00	CApp 3859; CApp 3854
Not on invoice	\$1,263.15	\$0.00	\$1,263.15	7211745 00	CApp 3863
SEKU5488632	\$656.78	\$623.94	\$32.84	7211789 00	CApp 3651; CApp 9398
CSNU7465653	\$5,469.26	\$5,207.82	\$261.44	7212031 00	CApp 5447; RApp 988
SEKU6018865	\$1,747.03	\$1,663.84	\$83.19	7212040 00	CApp 3372; CApp 3376
CAIU9216570	\$3,800.00	\$500.00	\$3,300.00	7212049 00, 7212049 01	CApp 3653; CApp 3530; CApp 3435
APHU6774762	\$2,526.32	\$100.00	\$2,426.32	7212057 00, 7212057 01	CApp 3536; CApp 3438-39
TCLU6596256	\$948.69	\$500.00	\$448.69	7212063 00, 7212063 01, 7212063 02	CApp 3442; CApp 3434; CApp 3540; RApp 360
BEAU4117604	\$3,684.21	\$1,500.00	\$2,184.21	7212064 00	CApp 3446; CApp 3447-38
TCLU8158650	\$2,747.36	\$500.00	\$2,247.36	7212067 00, 7212067 01	CApp 3451; CApp 3544; CApp 3435
SEGU5340147	\$525.00	\$500.00	\$25.00	7212068 00	CApp 3455; CApp 5848
CMAU6430003	\$2,526.32	\$2,400.00	\$126.32	7212114 00	CApp 6604; CApp 6607-08
BEAU4103914	\$656.78	\$623.94	\$32.84	7212624 00	CApp 3460; CApp 8681
CMAU6332100	\$656.78	\$623.94	\$32.84	7212625 00	CApp 3463; CApp 3465
BMOU6093070	\$656.78	\$623.94	\$32.84	7212627 00	CApp 3467; CApp 3469
TEMU7577725	\$656.78	\$623.94	\$32.84	7212628 00	CApp 3471; CApp 9641
SEGU6306260	\$656.78	\$623.94	\$32.84	7212629 00	CApp 3474; CApp 9390
SEGU4496290	\$656.78	\$623.94	\$32.84	7212632 00	CApp 3476; CApp 9360
SEKU5586198	\$3,283.90	\$623.94	\$2,659.96	7212635 00, 7212647 00	CApp 3478-79; CApp 3485
TLLU5002105	\$2,627.12	\$2,495.76	\$131.36	7212640 00	CApp 3481; CApp 9785-86
TCHU2242903	\$2,627.12	\$0.00	\$2,627.12	7212644 00	CApp 9489
CMAU6861700	\$2,627.12	\$2,495.76	\$131.36	7212654 00	CApp 8980; CApp 8988-89
TCNU8192311	\$2,627.12	\$2,495.76	\$131.36	7212655 00	CApp 3489; CApp 9603-04
TEMU6969125	\$2,627.12	\$2,495.76	\$131.36	7212656 00	CApp 4430; CApp 9629-30

TCLU8955592	\$3,065.00	\$2,911.72	\$153.28	7212657 00	CApp 4432; CApp 4434-35
FSCU8375511	\$3,064.96	\$2,911.72	\$153.24	7212658 00	CApp 4438; CApp 9256-57
TCNU8169899	\$2,526.32	\$2,400.00	\$126.32	7212662 00	CApp 7106; CApp 6527; CApp 6529
TCLU1861085	\$4,947.36	\$4,700.00	\$247.36	7212663 00	CApp 4444; CApp 6611
CMAU4238265	\$4,947.37	\$4,700.00	\$247.37	7212664 00	CApp 4588; CApp 6611
TEMU6102561	\$4,947.36	\$4,700.00	\$247.36	7212665 00	CApp 6609; CApp 6611
CMAU7150347	\$4,842.11	\$4,600.00	\$242.11	7212667 00	CApp 4453-54; CApp 4456
TEMU7613592	\$4,842.11	\$500.00	\$4,342.11	7212668 00	RApp 525-26
Not on invoice	\$4,947.36	\$0.00	\$4,947.36	7212669 00	RApp 527; RApp 177
APHU7033790	\$4,315.79	\$4,100.00	\$215.79	7212671 00	CApp 4459-60
TRHU4770122	\$4,947.36	\$4,700.00	\$247.36	7212672 00	CApp 4461; CApp 6611-12
TEMU6316590	\$4,947.36	\$4,700.00	\$247.36	7212673 00	CApp 4464; CApp 6611
TCNU3223317	\$4,947.36	\$4,700.00	\$247.36	7212674 00	CApp 3975; CApp 6611
CMAU4596926	\$4,315.79	\$4,100.00	\$215.79	7212677 00	CApp 3977; CApp 3978
TGBU6325272	\$4,842.11	\$4,600.00	\$242.11	7212678 00	CApp 3978; CApp 3979-81
CMAU6902780	\$5,473.68	\$5,200.00	\$273.68	7212679 00	CApp 3982; CApp 3978; CApp 3980
CMAU7464815	\$5,473.68	\$5,200.00	\$273.68	7212680 00	CApp 3985; CApp 3978; CApp 3980
TCLU8537817	\$5,473.68	\$5,200.00	\$273.68	7212681 00	CApp 3988; CApp 6527; CApp 6529
BMOU5417391	\$5,473.68	\$5,200.00	\$273.68	7212682 00	CApp 3992; CApp 6527; CApp 6529
TRHU8963665	\$5,473.68	\$5,200.00	\$273.68	7212683 00	CApp 6613; CApp 6527-29
APHU7275264	\$5,473.68	\$5,200.00	\$273.68	7212684 00	CApp 5851; CApp 6527; CApp 6529
TCNU6993707	\$2,631.58	\$2,000.00	\$631.58	7212690 00	CApp 8260; CApp 6620; CApp 3400
CMAU8486552	\$631.57	\$300.00	\$331.57	7212692 00, 7212692 01	CApp 3995; CApp 5855; CApp 3431
BMOU5867969	\$2,105.26	\$2,000.00	\$105.26	7212693 00	CApp 8267; CApp 3400
AXIU1665326	\$2,105.26	\$2,000.00	\$105.26	7212694 00	CApp 6623; CApp 3400
TCNU4365430	\$2,631.58	\$2,500.00	\$131.58	7212695 00	CApp 4618; CApp 6527; CApp 6529
TLLU4227724	\$2,105.26	\$2,000.00	\$105.26	7212697 00	CApp 6626; CApp 6607
CMAU4651387	\$5,473.68	\$5,200.00	\$273.68	7212749 00	CApp 4005; CApp 6527; CApp 6529
CMAU5833869	\$315.78	\$300.00	\$15.78	7212830 00	CApp 4008; CApp 3431
CMAU4489234	\$2,105.26	\$2,000.00	\$105.26	7212836 00	CApp 4015; CApp 3400
CAIU7906426	\$2,105.26	\$2,000.00	\$105.26	7212837 00	CApp 8276; RApp617
TGHU9661689	\$2,105.26	\$2,000.00	\$105.26	7212838 00	CApp 6629; CApp 3400
DFSU6656920	\$2,105.26	\$2,000.00	\$105.26	7212839 00	CApp 4021; CApp 3400

CMAU4408530	\$2,631.58	\$2,500.00	\$131.58	7212840 00	CApp 6632; CApp 6607; CApp 6634
TCNU7371858	\$2,631.58	\$2,000.00	\$631.58	7212841 00	CApp 8268; CApp 6607
CMAU5635776	\$1,578.94	\$1,500.00	\$78.94	7212842 00	CApp 4025; CApp 4026
TCLU1527289	\$1,578.94	\$1,500.00	\$78.94	7212843 00	CApp 4027; RApp 371
CAIU9243831	\$1,578.94	\$0.00	\$1,578.94	7212844 00	CApp 5693
UETU5542161	\$1,578.95	\$1,500.00	\$78.95	7212845 00	CApp 5698; RApp 1046
CMAU7115388	\$1,578.94	\$1,500.00	\$78.94	7212846 00	CApp 5702; CApp 5872
CMAU7895089	\$1,578.94	\$0.00	\$1,578.94	7212847 00	CApp 5706
TGHU6870509	\$2,105.26	\$2,000.00	\$105.26	7212848 00	CApp 5711; CApp 5103-04
TGBU4927060	\$1,578.94	\$1,500.00	\$78.94	7212850 00	CApp 5716; CApp 5107
SEGU6200704	\$2,105.26	\$2,000.00	\$105.26	7212851 00	CApp 5719; CApp 4701-02
TCKU6322710	\$2,105.26	\$2,000.00	\$105.26	7212852 00	CApp 5723; CApp 4706-07
Not on invoice	\$2,105.26	\$0.00	\$2,105.26	7212854 00	CApp 5728; RApp 364
TCLU8884626	\$2,105.26	\$2,000.00	\$105.26	7212855 00	CApp 5733; CApp 4716-17
TLLU7705160	\$2,631.58	\$2,500.00	\$131.58	7212856 00	CApp 5738; CApp 4721-22; CApp 4724
TCNU5272331	\$2,105.26	\$2,000.00	\$105.26	7212857 00	CApp 5744-45; CApp 4728
CMAU6309497	\$842.10	\$0.00	\$842.10	7212862 00	CApp 6434
TGHU6332761	\$1,222.15	\$1,185.49	\$36.66	7214688 00	CApp 6125; CApp 6130
SEGU4425091	\$1,222.17	\$1,185.49	\$36.68	7214766 00	CApp 3247-48
SEGU6189441	\$1,222.15	\$1,185.49	\$36.66	7214775 00	CApp 3281; CApp 3292
TGBU9314306	\$1,222.15	\$1,185.49	\$36.66	7214777 00	CApp 6046; CApp 8416
TEMU7620550	\$1,222.15	\$1,185.49	\$36.66	7214781 00	CApp 6962; CApp 6050
CMAU6459012	\$1,634.89	\$1,585.85	\$49.04	7214935 00	CApp 3261-62
TLLU7774582	\$1,634.89	\$1,585.85	\$49.04	7214937 00	CApp 3270; RApp 1028
TCNU1568393	\$1,634.89	\$1,585.85	\$49.04	7214939 00	CApp 6148; CApp 6152
CAIU8833520	\$1,634.89	\$1,585.85	\$49.04	7214940 00	CApp 6167; RApp 1030
CAIU7116458	\$2,047.63	\$1,986.21	\$61.42	7214941 00	CApp 6056-7; RApp 1041-2
TGHU6326748	\$306.00	\$296.37	\$9.63	7214943 00	CApp 6537-38
TGBU4315697	\$1,248.42	\$1,185.48	\$62.94	7214944 00	CApp 6543; CApp 6548-49
TLLU7533902	\$1,248.00	\$1,185.48	\$62.52	7214946 00	CApp 6550; CApp 6555; CApp 6566
CMAU7571238	\$312.00	\$296.37	\$15.63	7214948 00	CApp 6556; CApp 6566
APHU6446676	\$312.00	\$296.37	\$15.63	7214949 00	CApp 6561; CApp 6566
TCNU5045580	\$1,248.42	\$1,185.48	\$62.94	7214951 00	CApp 6567; CApp 6572-73
CRSU9351044	\$1,248.42	\$1,185.48	\$62.94	7214952 00	CApp 6153; CApp 6158-59
CRSU9308921	\$1,248.00	\$1,185.49	\$62.51	7214953 00	CApp 6574; CApp 6579
18 Containers ²	\$59,789.47	\$56,800.00	\$2,989.47	7217739 00	CApp 6424-26
TOTAL MARKUP			\$86,722.10		

² Fourteen of the eighteen containers are listed by individual container number in the chart as well; however, those earlier entries reflect a separate time period of demurrage charges.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 2006 WL 2007808, at *11-12 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Docket No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, Docket No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021) (Order Affirming Initial Decision on Remand). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 1994 WL 279898 (FMC June 13, 1994).

3. Admissibility of Charts and Supplemental Exhibits

With its opening brief, TPG submitted two excel spreadsheets labeled as a shipment chart (Vol. VII, CApp 110120) and a damages chart (Vol. VI, CApp 11019). Respondents object to the charts, arguing that they are unauthenticated and inadmissible and that TPG offered no foundation for the charts. Opposition at 2, 2 n.1. TPG argues in reply that the charts are admissible under Federal Rule of Evidence 611(a) regarding presentation of evidence or Rule 1006 as a summary of evidence. Reply at 14 n.1; 39-40. TPG submits declarations from its attorneys regarding creation of the charts, and revised versions of the charts with the same Bates numbers. Comprés and Burd Declarations; CApp 110120 (revised); CApp 11019 (revised). Respondents argue that the charts should be afforded no more weight than argument of counsel and object that TPG’s opening brief stated that the *shipment* chart listed its damages while TPG’s reply states that the *damages* chart lists its damages. Sur-reply at 3-6.

Charts summarizing evidence may be admitted pursuant to Federal Rule of Evidence 611(a) or pursuant to Rule 1006. Under Rule 611(a), demonstrative evidence is admissible where it will assist in better understanding the case. *United States v. Palazzo*, 2010 WL 1141644, at *8 n.5 (5th Cir. Mar. 23, 2010). Courts are split regarding whether such demonstrative evidence should be admitted. Admissibility of Summaries or Charts of Writings, Recordings, or Photographs Under Rule 1006 of Federal Rules of Evidence, 198 A.L.R. Fed. 427 (2004).

Rule 1006 allows the admission of charts into evidence instead of voluminous records that would otherwise be admissible. *United States v. Janati*, 374 F.3d 263, 273 (4th Cir. 2004). The rule states that the “contents of voluminous writings, recordings, or photographs which cannot conveniently be examined in court may be presented in the form of a chart, summary, or calculation. The originals, or duplicates, shall be made available for examination or copying, or both, by other parties at reasonable time and place.” Fed. R. Evid. 1006.

Charts “admitted under Rule 1006 are explicitly intended to reflect the contents of the documents they summarize and typically are substitutes in evidence for the voluminous originals,” whereas Rule 611(a) demonstrative charts “most typically are used as ‘pedagogical devices’ to ‘clarify and simplify complex testimony or other information and evidence or to assist counsel in the presentation of argument to the court or jury.’” *United States v. Milkiewicz*, 470 F.3d 390, 397-398 (1st Cir. 2006) (citations omitted). Thus, while charts under Rule 1006 are admitted as evidence themselves, charts under Rule 611(a) are “instead merely a summary of evidence *already admitted*.” *U.S. v. Palazzo*, 2010 WL 1141644, at *8 n.5 (emphasis in original).

The shipment and damages charts and the revised versions are admitted under Federal Rule 611(a) to assist in reviewing the claims, and not as independent evidence of underlying claims under Rule 1006. Although courts do not always admit Rule 611(a) demonstrative evidence, considering the relatively liberal standard for admitting evidence in administrative litigation, they will be admitted. As explained in more detail below, the revised damages chart is helpful in identifying the specific invoices for which TPG seeks reparations, while the shipment charts are helpful in ascertaining the container number and evidence citations corresponding to the relevant invoices. Of note, TPG could have better presented its damages request by organizing alleged damages by container number, or at least by indicating the container number corresponding to each invoice in their request for reparations. The improper markups chart, the last finding of fact, does not rely upon the revised damages chart itself; rather, it was developed by reviewing TPG’s revised damages chart and comparing that to the evidence in the record, noting the specific evidence supporting each markup calculated.

TPG also objects to the 689 pages of supplemental exhibits filed by Respondents. Sur-reply Response at 6-7. It is not clear whether these documents had been provided to TPG prior to this litigation; however, even if not, that is not a reason to exclude them. In the past, the Commission has allowed evidence of charges to be submitted after a remand. It is more efficient to admit these documents at this stage. Therefore, the request to strike Respondents’ supplemental exhibits is denied.

It is unfortunate that TPG could not identify its damages during discovery and that its damages request changed from \$1,222,123 to \$584,837.29 from its amended complaint to its reply. This was in part due to Respondents’ delays in providing the relevant receipts and discovery. Earlier identification of damages could have saved both parties’ resources in litigating the proceeding and improved the likelihood of a settlement.

4. Joint Renewed Motion for Confidential Treatment

On February 22, 2024, TPG filed a motion for confidential treatment. On May 15, 2024, an order to supplement the record was issued, denying without prejudice TPG’s motion for

confidential treatment and permitting the parties to file a narrowed request. On May 30, 2024, the parties filed a joint renewed motion seeking confidential treatment of only a few select documents included in TPG’s Appendix, volumes IV and V. Joint Confidential Treatment Motion at 1.

The parties state that “their request is narrowly tailored to seek confidential treatment only of documents that contain confidential, commercially sensitive information relating to Respondents’ business and the terms of Omni’s acquisition of Epic, disclosure of which could cause Respondents’ competitive harm and violate Respondents’ obligations to third parties.” *Id.* The parties provide a chart with the Bates numbers of the documents for which protection is sought along with the basis for the confidentiality request.

Commission Rule 5 authorizes confidential treatment for confidential commercial information. The joint request for confidential treatment significantly limited the amount of information for which confidential treatment is sought. Confidential treatment is sought for confidential terms of Omni’s acquisition of Epic and non-public information about the corporate structure and ownership of Omni and Epic. For depositions, protection is properly sought only for specific lines and not entire pages. Joint Confidential Treatment Motion at 2.

As narrowed, the requests are reasonable. Further, this decision is readable without the need for quotations from material designated as confidential. Accordingly, it is hereby ordered that the joint renewed motion requesting confidentiality be **GRANTED**.

B. Shipping Act Definitions

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including common carriers.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country[.]

46 U.S.C. § 40102(7). The statutory definitions are echoed in the Commission’s regulations:

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Shipping Act also provides that the term “ocean transportation intermediary” means “an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). The term non-vessel-operating common carrier is then defined as a common carrier that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17).

The Commission promulgated regulations providing examples of NVOCC services performed by OTIs.

(k) ***Non-vessel-operating common carrier services*** refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;
- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

On June 16, 2022, the Ocean Shipping Reform Act of 2022 (“OSRA 2022”) was enacted. OSRA 2022 revised parts of the Shipping Act. Those sections, and the OSRA 2022 changes, are addressed below. The Shipping Act sections at issue here include: (1) section 41102(c) regarding

unjust and unreasonable practices, (2) section 41104(a)(14) regarding charges inconsistent with section 41102(c), and (3) section 41104(a)(15) regarding demurrage or detention charges.

C. Discussion

1. Sections 41102(c) and 41104(a)(14): Unjust and Unreasonable Practices

a. Relevant Law

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64480 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Failure of an NVOCC to “carry out [an] obligation it was paid to perform” may constitute a violation of section 41102(c). *Bimsha Int’l v. Chief Cargo Servs., Inc.*, 2013 WL 9808692, at *5 (FMC Sept. 4, 2013), *aff’d sub nom. Chief Cargo Servs. v. FMC*, 586 Fed. Appx. 730 (2nd Cir. 2014). As an example, the Commission noted an NVOCC was held to have violated section 10(d)(1) “when it refused to release the cargo at destination port unless additional money was paid, and instructed its agent to place the shipment on hold.” *Bimsha Int’l*, 2013 WL 9808692, at *5 (citing to *Brewer v. Maralan*, Docket No. 99-19, 29 S.R.R. 6, 9 (FMC Jan. 3, 2001)); *see also Corpco Int’l Inc. v. Straightway, Inc.*, Docket No. 97-05, 28 S.R.R. 296, 300, 1998 WL 940257, at *7 (FMC June 8, 1998) (affirming “the ALJ’s conclusion that Straightway violated section 10(d)(1) of the Act by forcing its customer to pay additional transshipment costs to obtain the negotiable bill of lading necessary to effect the delivery of certain cargo.”). The Commission similarly affirmed that an NVOCC had violated section 10(d)(1) “by withholding and aborting a

shipment to coerce payment of debt for other shipments.” *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2013 WL 9808694, at *6 (FMC Oct. 31, 2013).

The Commission has also provided specific guidance on factors to consider in determining whether demurrage and detention charges violate section 41102(c) in the Demurrage and Detention Rule, which went into effect May 18, 2020. 85 Fed. Reg. 29638 (May 18, 2020). Commission Rule 545.5 provides in pertinent part:

(a) *Purpose*. The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.

(b) *Applicability and scope*. This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (*e.g.*, land) or shipping containers, not including freight charges.

(c) *Incentive principle*—(1) *General*. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

46 C.F.R. § 545.5.

TPG also alleges that some invoices violate OSRA 2022, section 41104(a)(14), which states that:

(a) IN GENERAL.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not- . . .

(14) assess any party for a charge that is inconsistent or does not comply with all applicable provisions and regulations, including subsection (c) of section 41102 or part 545 of title 46, Code of Federal Regulations (or successor regulations).

46 U.S.C. § 41104(a). This requires that charges assessed after June 16, 2022, comply with section 41102(c) and Commission Rules in 545, including 545.4 and 545.5. Therefore, the section 41104(a)(14) allegations will be addressed in conjunction with the alleged 41102(c) violations.

b. Parties’ Arguments

TPG asserts that Respondents: both acted as an NVOCC with respect to Complainant; acts occurred on a normal, customary, and continuous basis; acts related to or were connected with receiving, handling, storing, or delivering TPG’s property; acts were unjust and unreasonable; and practices are the proximate cause of the claimed loss. Brief 16-27.

Respondents contend that: Epic was the Respondent that performed the services at issue in this dispute; the provisions of Epic's tariff and Epic's terms and conditions apply to TPG's shipments and obligate TPG to pay additional charges above the amount of freight charges; Respondents' alleged "markups" were not unjust or unreasonable because Respondents informed TPG of the "markups" and TPG agreed to pay them; Respondents did not unreasonably withhold or fail to provide supporting documents to TPG and Respondents had no obligation to communicate demurrage charges in any particular manner; TPG presents no evidence that Respondents failed to prevent or mitigate unnecessary charges; Respondents did not use coercive collection practices; TPG seeks to recover damages arising out of shipments over which the Commission lacks jurisdiction because they did not enter the United States through a United States port; and TPG fails to establish proximate cause or establish its damages with reasonable certainty. Opposition at 5-33.

In its reply, TPG further argues that: Omni cannot escape the Commission's jurisdiction because Omni was acting as a regulated entity with regard to TPG; Respondents failed to provide proof of propriety for substantial charges; Epic's tariffs and terms and conditions do not excuse Respondents' unjust and unreasonable practices; Respondents' "admin charges" were unjust and unreasonable; Respondents failed to prevent or mitigate unnecessary charges, and TPG has presented evidence to support its claim; Respondents engaged in unlawful collection practices; Respondents are liable for violations of the Shipping Act sections 41104(a)(14), (15) with respect to all invoices that are not pass-through; TPG has not included any damages for shipments that arrived outside of a United States port; and Respondents fail to rebut TPG's evidence. Reply at 8-40.

In their sur-reply, Respondents contend that TPG submitted new evidence and raised new arguments about certain evidence that TPG did not raise in its opening brief; TPG quietly advances a new theory as to its damages that was not set forth in its opening brief; and TPG continues to claim damages for amounts that Respondents charged but which TPG has not paid. Sur-reply at 3-8.

In its sur-reply response, TPG asserts that TPG's damages theory remains consistent and Respondents have failed to rebut it; Respondents' supplemental evidence does not establish that they adhered to just and reasonable practices; and Respondents improperly invoiced TPG \$584,837.29. Sur-reply Response at 5-8.

c. Discussion

To succeed in a section 41102(c) claim for reparations, five elements must be shown. Each is addressed below, including whether (i) Respondents are common carriers in connection with TPG's shipments; (ii) the practices at issue relate to the receiving, handling, storing, or delivering of property; (iii) the practices are unreasonable; (iv) the practices are occurring on a normal, customary, and continuous basis; and (v) proximate cause.

i. Common Carrier

The first element requires that the respondent be an ocean common carrier, marine terminal operator, or ocean transportation intermediary. An NVOCC is a type of ocean

transportation intermediary. 46 U.S.C. § 40102(20). TPG asserts that Respondents are NVOCCs and Respondents acknowledge that they were both NVOCCs. The dispute is over which Respondent provided NVOCC services to TPG for these particular shipments.

TPG asserts that both Respondents acted as non-vessel operating common carriers with respect to TPG; Respondents acted as a shipper in their relationship with the ocean common carriers; Respondents did not operate the vessels used for the ocean transportation; and Respondents performed NVOCC services set forth in 46 C.F.R. § 515.2(k). Brief at 3-16.

Respondents contend that Epic was the Respondent that performed the services at issue in this dispute, arguing that despite Omni's acquisition of Epic in April of 2021, Omni and Epic remained separate entities and Epic's operations were not fully integrated with Omni's business until April 2023; and Omni did not perform any services subject to the Commission's jurisdiction for these shipments. Opposition at 6-7.

The evidence shows, and the parties do not dispute, that both Epic and Omni were licensed ocean transportation intermediaries and NVOCCs. Answer ¶¶ 6-7, 16. Both entities maintained a tariff and held out to the general public to provide transportation by water of cargo. Answer ¶ 16; CApp 10512-20. It appears that both entities assumed responsibility for shipments and that both entities transported goods between the United States and a foreign country. CApp 10720-893. Thus, both entities meet the Shipping Act's requirements to be an NVOCC. The question is which entity handled these shipments for TPG. *See CMI Distribution, Inc. v. Service By Air, Inc.*, 3 F.M.C.2d 83, 99, 2021 WL 9204113, at *4 (FMC July 26, 2021).

Starting in about 2015, TPG began working with Epic, which arranged ocean transportation services, drayage, domestic motor carrier services, and customs clearance services. TPG Resp/RPFF ¶ 1. Effective April 2, 2021, Omni purchased Epic and Epic became Omni's wholly owned subsidiary. CApp 10996-11007. However, under the April 2, 2021, operating agreement, Epic remained a separate business entity. CApp 10895-10903; RApp 75-76. Prior to May of 2022, Hapag-Lloyd invoices were addressed to Epic. *See, e.g.*, CApp 3934-39. In June or July of 2022, Epic employees moved into the Omni facility and began meeting the Omni team. CApp 10316-17. Around April 2023, after the shipments at issue, Epic and Omni business operations were integrated. CApp 10212. Epic's employees are now "fully blended with the Legacy Omni team." CApp 10326. The parties refer to this as both an acquisition and a merger, although the issue relevant to this proceeding is whether they operated as independent entities during the 2021-22 timeframe.

"It is a general principle of corporate law deeply 'ingrained in our economic and legal systems' that a parent corporation (so-called because of control through ownership of another corporation's stock) is not liable for the acts of its subsidiaries." *United States v. Bestfoods*, 524 U.S. 51, 61 (1998) (citation omitted).

Thus it is hornbook law that the exercise of the control which stock ownership gives to the stockholders ... will not create liability beyond the assets of the subsidiary. That control includes the election of directors, the making of by-laws ... and the doing of all other acts incident to the legal status of stockholders. Nor will a duplication of some or all of the directors or executive officers be fatal.

Bestfoods, 524 U.S. at 61-62 (citation and internal quotes omitted).

A wholly owned corporation is treated as a distinct juridical entity unless its corporate veil can be pierced. *Alkanani v. Aegis Def. Servs., LLC*, 976 F. Supp. 2d 1, 8-10 (D.D.C. 2013); *see also Bestfoods*, 524 U.S. at 62-63. TPG has not sought to pierce the corporate veil and the evidence does not show failure to maintain corporate records or corporate formalities; commingling or diversion of funds; use of the same office or business location; or other facts that would suggest that the corporate veil could be pierced. Similarly, there is no evidence that Epic was a mere agent or instrumentality of Omni. Rather, the evidence shows that both entities operated simultaneously during the 2021-2022 timeframe, serving different clients. CApp 10218.

As part of the Epic acquisition, all Epic partners were subject to an earn-out provision where a certain gross profit component had to be met by the end of April 2023. CApp 10217. “An earn-out is a financial technique that results in future payments to a seller contingent on the target achieving defined financial or nonfinancial objectives after completion of the deal. The seller receives the added compensation on top of the initial payments . . . if the agreed-up objectives are met.” Negotiating an acquisition—Contingent purchase price: Using earn-outs in acquisitions, Corporate Acquisitions § 1:21 (2024). The consequence of not meeting this earn-out target would be no cash payout, potential job jeopardy, and “not fulfilling our obligation.” CApp 10217. The earn-out agreement included a requirement that Epic “had to operate as an entity without additional resources, and hit those earn-out numbers.” CApp 10218. The earn-out agreement impacted compensation; however, the acquisition would have continued if the earn-out goal was not reached. CApp 10217. There is no indication that the earn-out process undermined Epic’s status as a distinct corporate entity; rather, the agreement required Epic to operate without additional resources, i.e. independently.

As explained below, the evidence shows that TPG had been Epic’s client before the acquisition and primarily Epic employees, or Omni employees who were former Epic employees, continued to handle the TPG account during the earn-out period. Although there is some ambiguity, for example emails from Omni employees and emails with Omni in the signature block and email address, the totality of the evidence suggests that Epic was operating as the NVOCC for the TPG shipments and that Omni was providing accounting and collections services.

TPG had been Epic’s client since at least 2016, well before the acquisition. CApp 10220. TPG would email Epic requesting a quote for a particular construction project, specifying the estimated number of containers, the origin, and the destination. Epic would respond with the freight cost, pre pull cost, chassis cost and minimum days, handling fee, ISF charge, customs clearance charge, and wait time rate, as well as the terms (for example, door to door). TPG’s Basiri Decl. ¶ 9; *see also, e.g.*, CApp 10122-200. Epic would then respond with a written quote via email and most quotes provided by Epic included language stating that all shipments were subject to Epic’s Terms and Conditions. *See, e.g.*, CApp 10186; *but see* CApp 10143. By at least June 16, 2021, Epic’s emails contained a footer noting Epic was partnering with Omni “[a]s a wholly owned subsidiary.” *See, e.g.*, CApp 11017.

The same people continued to work on the TPG account, although certain key employees, such as the Epic founders, became Omni employees as of April 2021. CApp 10213; CApp

10292. Moreover, there were not significant changes in the decision-making hierarchy at Epic pre- and post-acquisition. CApp 10218. The most glaring exception is an Omni employee, Bill Heathcock, who had not worked for Epic, who emailed TPG on May 17, 2022, threatening to withhold delivery of containers until TPG paid for other delivered containers. CApp 10705; CApp 10227. This could be seen as a collection tactic, which Omni was handling for Epic. TPG does not point to case law suggesting that employees of the parent company cannot also work for and bind a wholly owned subsidiary under these circumstances.

Some emailed quotes to TPG were signed by Omni employees and former Epic employees who listed Omni in their signature block and as part of their email address. However, the shipping quote in the text of the email generally stated: “All shipments are subject to Epic Freight’s Terms and Conditions” and “Epic Freight Solutions liability is not responsible for consequential damages.” *See, e.g.*, CApp 10169-10170. Moreover, the record shows that Epic retained control of the containers. For example, on April 13, 2022, in trying to sort out the delivery order for a container, Omni sent an email stating that “Epic is the broker.” RApp 321; *see also* RApp 327 (“Epic Freight Solutions had the clearance release on 9/2[2021].”).

While emails from Omni and former-Epic employees, which included Omni in the email address and signature block, weigh toward finding that Omni was the NVOCC, greater weight is given to the statements that Epic’s terms and conditions applied and evidence that Epic retained control over the containers. Therefore, on balance, the evidence weighs toward finding that Epic was the NVOCC for TPG’s shipments and that Omni did not act as an NVOCC for TPG’s shipments.

Many of the billing issues involved Omni. Respondents assert that Omni “merely performed back-office services, including the issuance of invoices for Epic’s services on behalf of Epic.” Opposition at 7; CApp 10320. The record includes Epic invoices requesting that payment be remitted to Omni as early as December 11, 2020. CApp 1. At about the time of the acquisition, Epic’s invoices started listing payment directions to Omni. TPG’s Basiri Decl. ¶ 7. Before “the transition and merger, Epic had used an outside firm to do accounting and collections. And as part of the transition and the merger, that firm was let go, and Epic started to rely on Omni’s accounting and collection team.” CApp 10217-18; CApp 10306. However, outsourcing accounting and collections would not make Omni the NVOCC handling these shipments, regardless of when it started, just as it did not make the prior accounting firm the NVOCC.

The evidence shows that TPG was Epic’s client and that Epic held out and assumed responsibility for the TPG shipments. Although there is some ambiguity, for example emails with Omni employees, signature block, and email address, the totality of the evidence suggests that Epic was operating as the NVOCC for the TPG shipments and that Omni was providing accounting and collections services. Therefore, this first element of 41102(c) is met for Epic but not for Omni. This decision will continue to refer to Epic and Omni as Respondents. However, the order will only apply to Epic as Omni was not the NVOCC responsible for these shipments.

ii. Receiving, Handling, Storing, or Delivering of Property

TPG asserts that the practices at issue are related to or connected with the receiving, handling, storing, or delivering of property, asserting that “[a]ll of the invoices and charges at issue relate to the demurrage, detention, customs brokerage, storage, chassis, and other charges directly connected to the delivery of TPG’s cargo.” Brief at 16, 20-21. Respondents do not address this factor. The evidence shows that the practices at issue involve Respondents’ receiving, handling, storing, and delivering of TPG’s cargo and this element is not contested. The element requiring that the practice in dispute be related to or connected with the receiving, handling, storing, or delivering of property is thus demonstrated.

iii. Unjust or Unreasonable Practice

TPG asserts a variety of ways in which Respondents’ billing practices were unreasonable. These arguments are organized and addressed below as issues with: (a) improper markups and charges, (b) coercive collection practices, (c) supporting documentation, and (d) information, avoidable charges, and mitigation.

(a) Improper Markups and Charges

TPG asserts that Respondents charged improper markups and other unsubstantiated charges that were not published in their tariffs, not applied consistently, and not agreed to by TPG. Brief at 22; Reply at 21-22.

Respondents contend that Epic’s tariff imposes an obligation to pay demurrage, detention, and other expenses beyond the port terminal area, including inland transportation; Respondents informed TPG of the alleged markups and TPG agreed to pay them, including an administrative fee after January 2022 and credit card processing fees; and the fees were not unjust or unreasonable. Opposition at 8-11.

Common carriers are required to publish a tariff listing all rates and charges, including pass-through charges. A common carrier must “keep open to public inspection in an automated tariff system, tariffs showing all its rates, charges, classifications, rules, and practices between all points or ports on its own route and on any through transportation route that has been established.” 46 U.S.C. § 40501(a)(1); *see also* 46 C.F.R. pt. 520. Moreover, common carriers are prohibited from “provid [ing] service in the liner trade that is – (A) not in accordance with the rates, charges . . . and practices contained in a tariff published or a service contract, . . . unless excepted or exempted.” 46 U.S.C. § 41104(a)(2)(A). Reversing a decision that “suggest[ed] that only markups to pass-through charges need to appear in a published tariff,” the Commission stated that “[a]lthough changes in pass-through charges may take effect upon publication under the Commission’s tariff regulations, the pass-through charges must still appear in a tariff.” *CMI Distribution*, 3 F.M.C.2d at 99, 2021 WL 9204113, at *16.

Epic’s terms and conditions state that the customer shall “be jointly and severally liable to carrier for payment of all freight, demurrage, detention and charges.” RApp 356 (Section 12(e)). In addition, Epic’s Tariff addresses detention, demurrage, and other charges, stating:

- “Tolls, Wharfage, Cost of Landing, and all other expenses beyond the port terminal area are for account of Owner, Shipper or Consignee of the cargo and all such expenses levied in the first instance against the Carrier will be billed in an equal amount to the Owner, Shipper, or Consignee of the Cargo.” CApp 10786.
- “Carrier does not operate terminals at origin or destination. Except as otherwise provided in tariff rate items, all shipments will be subject to the origin and destination terminal charges assessed by the underlying ocean carrier, including demurrage charges, whose vessel will be clearly identified on bills of lading.” CApp 10863.
- “Carrier does not own or lease equipment. When equipment is provided to shippers and/or consignees by Vessel Operating Common Carriers (VOCCs), the VOCC, either directly or via the carrier, provisions as published by the VOCC in its FMC tariff, including detention charges, will be for the account of the cargo.” CApp 10861.

Epic’s tariff authorizes it to pass through demurrage, detention, and other charges but does not allow it to inflate or markup those charges. Respondents’ quotes to TPG in the record include a variety of fees – including freight cost, pre pull, chassis, handling, ISF, customs clearance, and wait time – but do not address detention, demurrage, markups, or administrative fees. *See, e.g.,* CApp 10126-29; RApp 262. Therefore, it would be unreasonable for Epic to markup the passed-through charges or to impose an administrative fee, as those fees were not included in their tariff.

Respondents contend that the fees were finance charges or administrative fees of five percent, beginning in 2022, and were necessary because Respondents advanced hundreds of thousands of dollars to common carriers, marine terminal operators, and other third parties on TPG’s behalf. Opposition at 10. The Commission will look at whether a fee was included in a tariff and how it was imposed and is not limited to the label applied to it. Here, the fee was referred to as a “processing fee” and an “administrative fee,” however, it appears that the parties understood it as a fee imposed on pass-through charges such as demurrage. RApp 175; CApp 11015; RApp 225. Regardless of the name, the fee was imposed as a percentage markup on demurrage charges. And, unlike in *Bakerly*, the fee here was not included in Epic’s tariff. *Bakerly, LLC v. Seafrigo USA, Inc.*, 2024 WL 95381, at *53 (ALJ Jan. 3, 2024).

Respondents contend that TPG agreed to the administrative fee. The evidence shows that on January 26, 2022, Yohanse Manzanarez reported to others working for Respondents that he told TPG they “would be charging 5% on pass through costs moving forward.” RApp 261. In addition, TPG acknowledged this fee on March 15, 2022, when TPG emailed Mr. Manzanarez, in part stating that “Why is there a 5% Admin charge on Chassis charges? You [and] I discussed starting to add 5% admin fee for pass through charges. Chassis charges were always a fixed rate.” RApp 225. Therefore, the record supports finding that the administrative charge was discussed for pass-through charges only. Discussion, however, is not the same as agreement. Respondents do not point to clear evidence in the record that TPG agreed to this fee.

Ocean transportation intermediaries, including NVOCCs “do not have an unbounded right to contract for whatever they want. They are limited by the prohibitions of the Shipping Act, one of which is section 41102(c).” Demurrage and Detention Rule, 85 Fed. Reg. at 29648. Charges must be reflected in a tariff and there is no evidence that Epic’s tariff was updated to include these charges. Early on, TPG specifically objected to a ten percent markup admin fee, stating “I don’t believe your proposal and T&Cs specify potential per diem charges.” CApp 11008. Therefore, these additional fees and markups, not published in the tariff, are unreasonable. The extent of the improper markups is discussed further in section III.D.3.a below regarding reparations.

(b) Coercive Collection Practices

TPG asserts that Respondents used coercive collection practices for 81 containers that Respondents “threatened to hold hostage for ransom over the course of 14 days unless TPG paid \$1.7 million” for amounts due from previous shipments and that two containers were withheld for 22 days (containers CMAU4830227 and CMAU4265316) and one container was withheld for 17 days (container DRYU9980059). Brief at 19-20; Reply at 19-20.

Respondents contend that they did not use coercive collection practices, arguing regarding reasonableness that TPG alleges a “threat” to withhold cargo but TPG acknowledges that only three, not 81, containers were allegedly withheld; the three containers were released on May 10, 2022, before the alleged threat to withhold cargo; Respondents had legitimate concerns about TPG’s willingness and ability to pay; and Epic’s tariff gave it a lien on property for charges on previous shipments. Opposition at 16-21.

Commission law is clear that “transportation of cargo cannot be aborted or cargo held to coerce payment of debt for other shipments.” *Petra Pet, Inc. v. Panda Logistics Ltd.*, Docket No. 11-14, 2012 WL 11914703, at *22 (ALJ Aug. 14, 2012) *aff’d* 2013 WL 9808694 (FMC Oct. 31, 2013); *Bernard & Weldcraft Welding Equip. v. Supertrans Int’l*, Docket No. 02-12, 2003 WL 136313, at *14 n.14 (ALJ Jan. 8, 2003) (admin. final Feb. 12, 2003) (“[D]isputes over earlier unrelated shipments cannot be used by either a carrier or a shipper as justification for refusing to release the cargo or to pay lawful freight money.”); *Tienshan v. Tianjin Hua Feng Transport*, Docket No. 08-04, 2011 WL 7144007, at *17 (ALJ Mar. 9, 2011) (admin. final April 12, 2011) (“An NVOCC that holds cargo hostage to its demands for money allegedly owed for prior shipments violates section 10(d)(1).”); *Adenariwo v. BDP Int’l*, Docket No. 1921(I), 2013 WL 12618258 (SO Mar. 7, 2013) (“*Adenariwo (SO)*”), *aff’d* 2014 WL 13110647 (FMC Feb. 20, 2014) (*Adenariwo (FMC)*), *partially aff’d on other grounds sub nom. Adenariwo v. FMC*, 808 F.3d 74 (D.C. Cir. 2015). Similarly, Commission case law indicates that cargo cannot be held to obtain additional fees or to collect an unreasonable debt. *Corpco Int’l Inc. v. Straightway, Inc.*, 1998 WL 940257, at *7 (“Straightway violated section 10(d)(1) of the Act by forcing its customer to pay additional transshipment costs to obtain the negotiable bill of lading necessary to effect the delivery of certain cargo.”); *Total Fitness Equipment, Inc. v. Worldlink Logistics, Inc.*, Docket No. 1831(F), 1998 WL 940255 (FMC Dec. 10, 1998) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of 10(d)(1)).

In *Adenariwo*, the complainant alleged that a container was unreasonably held by Zim’s agent “until payment for storage charges for a separate container shipment was made,” while the

respondent “pointed to the general lien clause in the terms and conditions of shipment, and said that its refusal to release the second shipment based on outstanding charges on a separate shipment was reasonable pursuant to its contractual rights.” *Adenariwo (FMC)*, 2014 WL 13110647, at *1. The Settlement Officer found that the law permitted Zim “to exercise a valid maritime lien and hold a shipment based on the charges that accrued on the bill of lading covering that specific shipment,” and held that Zim violated 41102(c) because the “act of holding a shipment for an unrelated shipment’s charges is an unreasonable practice under the Shipping Act.” *Adenariwo (SO)*, 2013 WL 12618258, at *6. The Commission affirmed, stating “while the law permits carriers to exercise valid maritime liens and hold a shipment for charges that accrue on that specific shipment’s bill of lading, holding a shipment for charges unrelated to that shipment is unreasonable.” *Adenariwo (FMC)*, 2014 WL 13110647, at *1. The Commission also affirmed an award of damages to Adenariwo, although the D.C. Circuit held that Adenariwo’s damages ought not be reduced by mitigation. *Adenariwo v. FMC*, 808 F.3d 74, 76 (D.C. Cir. 2015).

“In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c). Prohibiting common carriers with billing disputes from holding cargo unrelated to the dispute is consistent with the incentive principle because it will keep commerce flowing and alleviate port congestion. There are appropriate methods for resolving demurrage and detention billing disputes – but refusing to release unrelated containers and stopping the flow of the cargo is not one of them.

The evidence shows that Respondents threatened to withhold shipments due to payments owed for other containers. On May 17, 2022, Respondents emailed TPG stating:

No additional freight for TPG will be delivered until Omni receives the \$1.7 Million owed for freight handled and delivered, so any additional charges incurred due to delays in your remittance to Omni to conclude our relationship will be TPG’s responsibility. After the \$1.7M is received, we will deliver the remaining 81 containers or so as they arrive on a “cash” basis paid and received in advance.

CApp 10705. On May 18, 2022, Respondents reiterated their demand, stating:

It’s a simple issue to remedy, pay what you owe us, we are not a bank, we are a transportation company, and you have far exceeded any reasonable credit limits. . . . We wish no other end than to collect monies due and conclude existing transactions - the end result is entirely in your hands, pay us what you owe us for services rendered, and all will flow smoothly. I have 30 minutes for a call . . . it will not change our stance, every day you delay payment is incurring more unnecessary charges which Omni will not pay.

CApp 10703-04.

Commission case law is clear that withholding shipments due to payments owed for other containers is unreasonable. While Respondents may have had legitimate concerns about TPG's willingness and ability to pay for containers that had been delivered, that does not justify unreasonable practices. Indeed, permitting parties to leave containers in demurrage while billing disputes are negotiated could cause unreasonable backlogs at ports, negatively impact the supply chain, and increase costs for all involved.

Respondents contend that at most three containers were impacted. TPG asserts that each of the three containers incurred \$1,265 in chassis fees, \$765 in storage, and \$4,947.36 or \$4,947.37 in demurrage charges. Brief at 27. The bill of lading for the three impacted containers is BGA0324110 and all three containers were released from APM Terminals, which charged \$4,700 in demurrage for each container. CApp 6611. The evidence shows that the first container, CMAU4830227, was picked up by Mecca Trucking on May 10, 2022, delivered on May 27, 2022, and the empty container returned on June 1, 2022. CApp 3559-61; RApp 181. The second container, CMAU4265316, was picked up by Mecca Trucking and delivered on May 27, 2022. CApp 8843; CApp 6427; CApp 6611. The third container, DRYU9980059, was picked up by Mecca Trucking on May 10, 2022 and delivered on May 27, 2022. CApp 3554; CApp 6611; RApp 179-81. TPG is properly focused on the date the containers were delivered.

The evidence shows that the containers were not delivered until May 27.³ All three containers were held past the May 17th and 18th threats to withhold delivery of all freight. Respondents' emails suggest that the reason these three containers were not delivered more quickly was because they were being held to coerce payments on unrelated containers. Even if the containers were released by the terminals before the alleged threats, the delay in delivery, coupled with the emails, support a finding of coercive collection practices. Therefore, the preponderance of the evidence supports finding that these three containers were held to coerce payment for unrelated containers, which is unreasonable.

Other containers were not improperly withheld because TPG paid additional amounts, as requested. Containers that had not yet arrived at port were not improperly held because they were not in a position to be delivered. However, that TPG capitulated and paid the charges under protest does not make the threats reasonable. Moreover, the number of containers involved may impact the reparations available if the other elements are met, but that just a few containers may have been delayed does not make the practice reasonable.

Respondents contend that Epic's tariff and terms and conditions gave it a lien on TPG's property for charges from previous TPG shipments. Opposition at 20. Epic's tariff states that Epic has a lien "on any and all property . . . of [TPG] in its actual or constructive possession, custody or control or en route, for all claims for charges, expenses or advances incurred by [Epic] in connection with this shipment, or any previous shipment." CApp 10842-43. Epic's Terms and Conditions grant Epic "a general and continuing lien . . . on any property of the customer . . . coming into [Epic's] actual or constructive possession . . . as to any unpaid charges." RApp 356. Commission case law is clear, however, that the parties cannot contract in a

³ TPG asserts that one of the containers was not released until June 1, 2022, according to an interchange receipt but it does not provide a citation to that evidence. Brief at 26 (citing RApp 180). Whether it was released on May 27th or June 1st does not change the analysis or finding.

manner that violates the Shipping Act. In *Adenariwo*, Zim’s terms and conditions included a lien for “all previously unsatisfied debts whatsoever due the Carrier.” *Adenariwo (SO)*, 2013 WL 12618258, at *5. This language did not shield Zim from the requirements of the Shipping Act. Similarly here, Epic’s tariff and terms and conditions do not make its actions reasonable.

While Respondents’ frustration with overdue billing is understandable, it does not justify withholding other containers. Therefore, Respondents acted unreasonably by threatening to hold containers and holding three containers to extract payments for other containers. The other factors and reparations for the three containers withheld are addressed below.

(c) Supporting Documentation

TPG asserts that Respondents “failed to provide TPG with complete and accurate documentation” and the “heart of this dispute are Respondents’ substantial undocumented charges to TPG,” arguing that Respondents failed to provide proof of the propriety of pass-through charges and the “charges are not otherwise reasonable because they are substantial.” Brief at 16, 23; Reply at 13.

Respondents contend that they did not unreasonably withhold or fail to provide supporting documents to TPG and Respondents had no obligation to communicate demurrage charges in any particular manner. Opposition at 12-14.

The Commission recently discussed the *Gruenberg-Reisner* case cited by TPG.

[T]he Commission has clarified through case law the treatment of pass-through assessorial charges for which no specific amount is fixed in either the [Negotiated Rate Agreement (“NRA”)] or the rules tariff. Specifically, in *Gruenberg-Reisner v. Overseas Moving Specialists, Inc.*, [Docket No. 1947(I), 34 S.R.R. 613, 622-623, 2016 WL 11942284, at *10 (FMC Oct. 7, 2016)], the Commission found that an NVOCC was entitled to collect pass-through assessorial charges without any markup, which it substantiated with invoices. The NVOCC described in its rules tariff the types of charges that were not included in the rate and provided that any of those charges assessed against the cargo would be for the account of the cargo, even if the NVOCC was responsible for the collection thereof. *Id.* The Commission found that Respondent was “entitled to payment for . . . destination terminal handling charges and the additional floor fee, and . . . local port fees, customs fees, parking permit, and elevator fee because these were reasonable accessorial charges that Respondent passed through to the Claimants without any markup.” *Id.* at [*9]. The Commission also stated that “assessing pass-through charges with no markup is a just and reasonable practice, in accordance with [section] 41102(c).” *Id.* at [*8].

Amendments to Regulations Governing NVOCC Negotiated Rate Arrangements and NVOCC Service Arrangements (“NSA/NRA Final Rule”), 83 Fed. Reg. 34780, 34787. In the NSA/NRA Final Rule, the Commission stated that “pass-through assessorial charges need not be fixed at the time of receipt of the first shipment, in light of the Commission’s decision in *Gruenberg-Reisner*, which found it permissible for an NVOCC to collect pass-through assessorial charges that were

not fixed upon receipt.” *Id.* The Commission concluded that “[f]or pass-through charges and ocean carrier [general rate increases] for which the NRA or rules tariff does not include a specified amount, the NVOCC may invoice the shipper for only those charges the NVOCC actually incurs, with no markup.” *Id.*

In *Gruenberg-Reisner*, the NVOCC substantiated some of its charges with invoices. The Commission found the *Gruenberg-Reisner* Respondent entitled to payment for local customs fees, parking permit fees, elevator fees, and customs inspection fees; however, the Commission remanded the issues of the fuel surcharge and terminal handling charges to determine whether Respondent reasonably assessed those charges. *Gruenberg-Reisner FMC*, 2016 WL 11942284, at *11. Although the record did not contain supporting documentation for these charges, the Commission found that invoices were “not the only indication of whether the charges were reasonable,” explaining:

The Commission has found that a carrier, under some circumstances, may recover reasonable charges it incurred without providing evidence that it incurred those charges. *C.H. Leavell & Co. v. Hellenic Lines, Ltd.*, 13 F.M.C. 76, 89 (FMC 1969). In *C.H. Leavell & Co.*, the Commission found that:

[R]espondent’s showing of increased voyage distance and duration is sufficient to overcome any presumption of unreasonableness; and there is no basis for a finding that the surcharges assessed were unreasonable, in the absence of any proof of unreasonableness. On the contrary, the record supports a positive finding that the surcharges assessed for the extra services rendered to complainant’s cargoes represented, in each case, a reasonable extra charge for such services.

Id.

Therefore, we remand the issue of whether Respondent’s assessment of these charges was a just and reasonable practice. On remand, we recommend that the SCO request the invoices again. The invoices, however, are not the only indication of whether the charges were reasonable. *See id.* If the NVOCC is unable to produce the invoices, we recommend that the SCO look at other factors such as whether the charges were similar to those assessed by other NVOCCs.

Gruenberg-Reisner FMC, 2016 WL 11942284 at *9-10; *see also C.H. Leavell & Co.*, 13 F.M.C. at 89 (“The burden of showing that the charges were unreasonable is upon complainant, although the fact of substantial charges alone is sufficient to require the carrier the carrier to come forward with *some proof* of their propriety.” (emphasis added)).

TPG argues that credit card receipts are not sufficient proof of the propriety of charges as they are not invoices from terminals or carriers. Opposition at 13. In its sur-reply response, TPG states:

It is not TPG’s contention that Respondents’ charges must always [sic] include the underlying carriers’ invoices. All TPG has repeatedly asked is for Respondents to provide documentation supporting [the] propriety of their substantial charges.

Respondents failed to do so. For example, documents that would explain why the containers were at the terminal for days Respondents did not arrange to have them picked up, resulting in excessive demurrage; or documents that would support Respondents' claims that there was congestion at the port. Respondents failed to provide any such documentation.

Sur-reply Response at 5-6.

The credit card receipts typically show critical information, including the container number, steamship line, vessel, voyage, discharge date, FTE date, and payment information. *See, e.g.*, CApp 2565-66. TPG does acknowledge that the credit card receipts show "proof that Respondents paid the charges." Reply at 13. TPG does not identify what information would be included on an invoice that is not reflected on these receipts. Moreover, even the original damages chart showed that these credit card receipts supported the majority of demurrage charges in TPG's claim. The credit card receipts are sufficient to show the amounts that Respondents paid on TPG's behalf.

Here, TPG requested supporting information about each charge; it was "a very detailed and at times complicated account," requiring proof of delivery, in gate and out gate tickets, demurrage receipts, and customs entry summary. CApp 10687; CApp 10306-07. TPG wanted the story behind each of the charges. CApp 10404.

Tell me the story of what happened. Did your truck driver have an accident? Did he get sick? Did he get arrested for something? You know, what happened? Why did -- why did we have seven days of charge? And they -- they would always say something like, we -- we can't get appointment to take it back or there's congestion. There's shortage of chassis [sic]. I mean, there -- there's some broad generic response. I never received any proper response.

CApp 10405; CApp 10390-91. TPG thus acknowledged that Respondents did provide explanations, such as lack of appointments, congestion, and chassis shortages; however, TPG did not accept these reasons.

The level of documentation that TPG (Thompson Pipe) wanted was not typical. Mr. Manzanarez testified that "I have not had a customer before or since that has required the -- the documentation that Thompson Pipe has required." CApp 10220-22. Indeed, Epic employees were at times frustrated by their own inability to meet the high level of service they had previously provided. CApp 10222 ("Historically, we have had a great partnership with Thompson Pipe. They require several pieces of documentation on delivery. This is needed for audit purchases. Unfortunately, we, our team, has not managed this process well this year."). While providing this extensive documentation may have initially been a competitive advantage, then a competitive disadvantage, for Epic, TPG has not shown that it is required by the Shipping Act.

It is not clear what documents would "explain why the containers were at the terminal for days." Indeed, when TPG filed its brief, it alleged that the charges associated with the ship canal project were part of its damages claim but later acknowledged that the delays in delivering those

containers were caused by its own client. TPG Reply, Burd Declaration ¶ 6 (“Storage Claims and Chassis Claims for the project entitled Ship Canal are excluded from the computation.”). There is no document that is part of the typical shipping process that would indicate whether cargo was not delivered because the client was not ready for delivery or for some other reason. TPG has not provided evidence that delays in picking up containers were the fault of Respondents and such fault will not be presumed merely from the existence of demurrage charges.

It is similarly not clear what documents would show “congestion at the port” to TPG’s satisfaction. The evidence shows that Respondents communicated directly with their clients about the congestion at the ports. For example, on November 3, 2021, TPG was copied on an email from Epic stating that “[a]s you know the congestion at the terminal is crazy high right now. But we are doing our best to navigate and get these containers to you.” RApp 269. On April 13, 2022, TPG and Respondents received an email from a booking agent in Germany stating that “one of the main problems here is, that there was (and still is) a heavy trucker shortage in the USA which can lead to heavy delays in delivery.” RApp 320. And on May 19, 2022, TPG emailed Respondents saying “[w]e understand that congestion may affect deliveries to and from the port and our expectation is that Omni will act reasonably and efficiently when performing its obligations.” CApp 10701.

Mr. Manzanarez, Epic’s Executive Vice President of Sales, testified that “COVID was not easy for anybody in transportation,” explaining:

So during this time, there was unprecedented congestion at every major port in -- in America. . . . 140 ships waiting out in the -- the port of Los Angeles. We had 37 miles of backup of railroads in the Chicago area. The entire system was stressed and broken, and there was no communication coming from a majority of our partners in getting -- gathering this information. It became awful hard to get documentation from partners and providers when they were struggling to fulfill their own obligations in transportation. It -- I know you are implying that -- that COVID is a -- is an easy scapegoat. It was -- it was the world I operated in, and it was extremely stressful and very challenging to conduct business in that environment. This specific example that you were talking about, not being able to receive invoices, a lot of it alluded to the -- the -- the documentation that we were unable to receive from our partners and compile the information to give him the invoices necessary.

CApp 10232-33; *see also* CApp 10224-25 (“we’re in a tremendous and unprecedented environment with . . . the global shipping” and the “charges and invoicing that happened during COVID were unusual and challenging to -- to manage, and that was the -- that was the challenge. Getting that information from organizations who did not, A, break it down like that, B, were significantly understaffed.”).

Indeed, Epic’s email signatures contained language stating:

Congestion in all the major ports (air and ocean) in North America has caused delays, diminished capacity, additional fees, surcharges including the standard per diem, demurrage, chassis, chassis splits, pre-pulls and weekend

pickups/deliveries, and storage. As always Epic Freight Solutions will be very transparent throughout the entire process.

We will communicate and address the situations as they arise. We will stand by our quote however cannot be responsible for the aforementioned accessorials as they simply cannot be anticipated. We appreciate your support during this latest wave of congestion as the world begins to open up businesses, that all call on North American ports.

CApp 10557.

Thus, the evidence shows that congestion impacted shipping during this time and Respondents reasonably conveyed this to TPG. During this period of unprecedented strain on shipping, unavoidable delays occurred to many shipments. Simply showing that demurrage was incurred is not sufficient to establish that the demurrage was unreasonable.

While it appears that the level of customer support declined when Omni purchased Epic, it is not clear that the service declined to a level that would constitute a violation of the Shipping Act. TPG has not shown that providing proof of delivery *and* common carrier invoices *and* proof of payment *and* each shipment's "story" are required by the Shipping Act. In fact, the Commission has held that invoices are not the only indication of whether charges were reasonable. It is unreasonable to provide no supporting documents or evidence about charges, but failing to provide all of the documentation desired by TPG is not unreasonable. It may be a reason that TPG would use to select a different provider, but that does not make it unreasonable under the Shipping Act.

The third-party invoices or credit card receipts are sufficient to show that Respondents paid demurrage charges for TPG's containers for the amounts reflected in the documents.

(d) Chassis and Storage Charges

In its brief, TPG asserts it is entitled to storage and chassis charges, stating only that the charges had "no legitimate basis" and that Respondents refused "to provide documentation to substantiate these charges." Brief at 1, 31.

Respondents contend that "[o]cean containers do not have wheels" and cannot be transported without chassis; virtually every quote Respondents provided to TPG included a per-day chassis rate (usually a two-day minimum use fee); and Respondents provided TPG with in-gate and out-gate receipts so that TPG could verify the validity of chassis charges. Opposition at 26, 26 n.12. Similarly, Respondents discuss the storage charges accumulated in the ship canal project when TPG's customer refused to accept delivery of five containers and Respondents assert:

Storage charges are for "yard storage" in a "trucker's warehouse" or yard. Storage charges accrued in circumstances in which a container was pulled from a terminal but the receiver was not yet available or ready to accept delivery, or when an empty container could not be returned due to lack of appointments at the port or terminal.

Opposition at 27.

In its reply, TPG contends that the “record does not conclusively reflect that Respondents provided ‘in-gate and out-gate receipts’ and in fact, often Respondents did not provide this information” and states that it has reduced its claim for chassis fees by two days per shipment. Reply at 27. TPG also states: “None of Respondents’ charges are supported with documentation for the storage fees. Again, the Ship Canal project is the sole instance that Respondents have identified is just one instance involving five invoices. The remainder of TPG’s claim for storage fees stands.” Reply at 38.

In its sur-reply, Respondents state that “TPG’s reduction in damages for chassis and storage charges amounts to \$166,455.00 but TPG does not explain the remaining \$96,420.34 reduction of its claim, again leaving the Respondents’ counsel and the Presiding Officer to guess why the changes have been made by TPG.” Sur-reply at 2. TPG does not address these charges in its sur-reply response.

The revised damages chart, chassis sheet reduces the amount sought for chassis charges from \$161,538.75 to \$72,033.75 after excluding the first two days of chassis charges (\$90 per invoice). CApp 11019 (revised). The revised damages chart, storage sheet reduces the amount sought for storage charges from \$139,633.19 to \$62,683.19 after excluding the ship canal project. CApp 11019 (revised). For these charges, the sheets in the damages chart only include an invoice number, amount of charge, and in the revised chart the reduced charge. There is no date and no citation to evidence. Moreover, TPG has not pointed to other evidence in the record supporting the argument that these charges were unreasonable. Unlike the demurrage charges where a number of emails acknowledge the markup, here, an email from TPG states “Why is there a 5% Admin charge on Chassis charges? You [and] I discussed starting to add 5% admin fee for pass through charges. Chassis charges were always a fixed rate.” RApp 225. Therefore, the evidence does not demonstrate that chassis or storage charges were unreasonable.

Thus, the evidence does not support finding that chassis and storage charges were marked up or otherwise unreasonable and the record does not provide sufficient information to confirm whether or not documentation was provided for these charges. Indeed, TPG acknowledges that over half of the storage and chassis charges that they originally sought were not unreasonable. There is not sufficient evidence to support finding the remaining amounts in the revised damages chart, storage and chassis sheets, are unreasonable.

(e) Information, Avoidable Charges, and Mitigation

TPG asserts that “charges that are supported by carrier invoices are not reasonable and could have been avoided,” arguing that Respondents: “failed to provide TPG with timely information concerning demurrage and detention, which are preventable charges, thereby preventing TPG from mitigating these costs;” never provided carrier’s tariffs to TPG, “or any other tariff [or] information that would have helped TPG avoid or mitigate these charges;” and failed “to enact systemic controls to properly track containers and records resulted in avoidable demurrage charges.” Brief at 19, 24-25, 30-31. In its reply, TPG asserts that its “principal argument is that Respondents failed to enact systemic controls to properly track records that would prevent incurring avoidable demurrage charges or even sufficient documentation for TPG

(or Epic and Omni themselves for that matter) to assess the propriety of the charges after the fact.” Reply at 23.

Respondents contend that TPG presents no evidence that Respondents failed to prevent or mitigate unnecessary charges but rather that the evidence demonstrates that Respondents did, in fact, regularly provide back-up documentation when it was available and made a good-faith effort to warn TPG of the potential to incur demurrage charges. Opposition at 12-16.

Respondents assert that “the only evidence in the record of ‘preventable’ charges were unequivocally caused by TPG and its customer in connection with the ‘Ship Canal’ project” where “TPG’s customer refused to accept delivery of five containers for a period of over five months.” Opposition at 14-15. TPG’s reply includes a declaration from TPG’s attorney that “Storage Claims and Chassis Claims for the project entitled Ship Canal are excluded from the [revised damages chart] computation.” TPG Reply, Burd Declaration ¶ 6. Not only does the evidence show that the Ship Canal charges were the result of TPG’s client’s inability to accept the containers, but Respondents successfully negotiated a waiver of \$232,500 in detention charges and TPG admits that these charges did not result from any conduct on the part of Respondents. RApp 234. Therefore, Respondents acted reasonably with regard to the ship canal project and those amounts are properly excluded from TPG’s revised damages chart. Moreover, this is evidence that Respondents attempted to mitigate charges even when those charges were TPG’s fault.

TPG asserts that another service provider pulled containers more quickly than Respondents and did not incur demurrage charges. Brief at 19; Reply at 23. Respondents object that TPG “never actually compared Respondents’ charges to another party performing transportation on the ‘same dates, same locations.’” Opposition at 16 (citing CApp 10390). But the Shipping Act prohibits conduct that is unreasonable, not conduct just because it may be less efficient.

TPG seems to think that all demurrage charges are inherently unreasonable, even where the record shows that Respondents paid the charges on TPG’s behalf pursuant to their tariff. The record does show that Respondents made errors, especially as the data requested by TPG needed to be input manually. CApp 10689 (“every part of this account and all tasks are manual making it easy for mistakes to occur and tasks become very time consuming.”). When errors were found, Respondents fixed them. These errors were not part of Respondents’ practices and the evidence does not show that they were so pervasive as to make Respondents’ billing practices unreasonable. Moreover, where the evidence did not clearly include a receipt for demurrage paid by Respondents, the improper markups chart shows the full amount of demurrage invoiced to TPG as the markup, so that this amount is accounted for in the markup section.

In addition, TPG wanted to know the demurrage charges in advance, so they could be incorporated into TPG’s bids to its customers. However, the evidence shows that these charges were incurred during a period of congestion and that demurrage charges cannot always be anticipated. Similarly, the evidence does not show a practice of failing to provide timely information that would rise to the level of a Shipping Act claim.

TPG asserts that Respondents' tracking system was insufficient, but does not present convincing evidence that demurrage charges were the fault of Respondents. TPG asserts that Respondents are withholding evidence such as invoices that would show whose fault the demurrage charges are, but it is not clear what the invoices would show that is not already listed on the credit card receipts and other documentation provided. Moreover, Respondents were not the one imposing the charges; rather, they were seeking reimbursement for charges they paid on TPG's behalf.

TPG has the burden of proof and has not provided evidence that all demurrage charges were avoidable, that lack of sufficient information caused the charges, that mitigation was possible, or that other unreasonable practices of Respondents caused the charges. Therefore, the evidence does not support a finding of unreasonableness for the charges due to problems with information, that they were avoidable, lack of mitigation, or other reasons.

Accordingly, the charges that are found unreasonable are the markups of passed-through amounts and charges due to coercive collection practices.

iv. Normal, Customary, and Continuous Basis

TPG asserts that unreasonable practices lasted from January 2020 into 2022 and applied to 902 containers, and therefore occurred on a normal, customary, and continuous basis. Brief at 17. Respondents primarily allege that any coercive collection practices did not occur on a normal, customary, and continuous basis. Opposition at 17-19.

Regarding coercive collection practices, TPG asserts this does constitute a practice because it occurred on a continuous basis for several days, and under Federal Rule of Evidence 406, "[e]vidence of a person's habit or an organization's routine practice" is admissible "to prove that on a particular occasion the person or organization acted in accordance with the habit or routine practice." Reply at 24, 27 n.5 (quoting Fed. R. Evid. 406). Respondents argue that any coercive collection practices were not a normal, customary, or continuous practice and Epic's tariff gave it a lien on property for charges on previous shipments. Opposition at 16-21.

The evidence shows that Epic included the right to withhold containers to extract payment on any property in its "actual or constructive possession" for "any unpaid charges" in both its tariff and terms and conditions. CApp 10842-43; RApp 356. Thus, these coercive collection practices were part of their written policies and procedures, which is sufficient to find that they were a practice occurring on a normal, customary, and continuous basis.

Regarding the other alleged unreasonable practices, the parties do not specifically address whether they were occurring on a normal, customary, and continuous basis. For example, Respondents stated that starting in January 2022, they would start imposing a five percent administrative fee. RApp 261-62. The evidence shows that additional charges beyond the rates listed in the tariff were regularly imposed by Respondents on TPG. Improper markups chart, FOF 102. This is sufficient to establish a practice.

v. Proximate Cause

Regarding coercive collection practices, TPG states that due to coercive collection practices, it paid \$228,536 around May 20, 2022, and another \$417,000 around May 31, 2022, and that containers were withheld for 22 days (containers CMAU4830227 and CMAU4265316) and 17 days (container DRYU9980059). Brief at 20 (citing CPFF ¶¶ 136-137, 144). Respondents argue that any coercive collection practices caused no injury. Opposition at 16-21.

Coercive collection practices can cause demurrage to be incurred and that additional demurrage would then be proximately caused by the unreasonable practice. Regarding the three containers withheld, the evidence shows that they were detained for 17 to 22 days each. The unreasonable detention of these containers is the proximate cause of the detention, chassis, and storage charges.

The other unreasonable practice was Respondents' decision to impose markups on pass-through detention and demurrage charges. This unreasonable conduct was the proximate cause of those charges, which the parties do not dispute.

As a result, all five Section 41102(c) elements have been established for the improper markup of pass-through charges and for coercive collection practices. Other allegations do not rise to the level of a Shipping Act violation. The reparations request is discussed below, in section III.D after discussing the OSRA invoice requirements.

2. Section 41104(a)(15): OSRA Invoice Requirements

TPG asserts that Respondents' invoices violated section 41104(a)(15), which was added to the Shipping Act by OSRA 2022. Brief at 27-30. Respondents contend that they are not liable because they merely passed through charges from ocean common carriers, and Respondents are not otherwise responsible for the charges. Opposition at 33-35.

a. Relevant Law

Section 41104(a)(15) states that:

(a) IN GENERAL.-A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not- . . .

(15) invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with-

(A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and

(B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled "Interpretive Rule on Demurrage and Detention Under the Shipping Act" (or successor rule).

46 U.S.C. § 41104(a).

The referenced Section 41104(d) states:

(d) DETENTION AND DEMURRAGE INVOICE INFORMATION.-

(1) INACCURATE INVOICE.-If the Commission determines, after an investigation in response to a submission under section 41310, that an invoice under subsection (a)(15) was inaccurate or false, penalties or refunds under section 41107 shall be applied.

(2) CONTENTS OF INVOICE.-An invoice under subsection (a)(15), unless otherwise determined by subsequent Commission rulemaking, shall include accurate information on each of the following, as well as minimum information as determined by the Commission:

- (A) Date that container is made available.
- (B) The port of discharge.
- (C) The container number or numbers.
- (D) For exported shipments, the earliest return date.
- (E) The allowed free time in days.
- (F) The start date of free time.
- (G) The end date of free time.
- (H) The applicable detention or demurrage rule on which the daily rate is based.
- (I) The applicable rate or rates per the applicable rule.
- (J) The total amount due.
- (K) The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- (L) A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- (M) A statement that the common carrier's performance did not cause or contribute to the underlying invoiced charges.

46 U.S.C. § 41104(d).

In addition, OSRA 2022 created a safe harbor provision, which states:

(e) SAFE HARBOR.-If a non-vessel operating common carrier passes through to the relevant shipper an invoice made by the ocean common carrier, and the Commission finds that the non-vessel operating common carrier is not otherwise responsible for the charge, then the ocean common carrier shall be subject to refunds or penalties pursuant to subsection (d)(1).

46 U.S.C. § 41104(e).

b. Parties' Arguments

TPG argues in its brief that “none of the invoices issued by Respondents after the effective date of the OSRA 2022 include all information required by the statute,” amounting to \$59,789.47 in improper charges. Brief at 30. TPG argues in its reply that Respondents are liable for violations of OSRA with respect to all invoices that are not passed through. Reply at 30-31.

Respondents contend that OSRA 2022 only applied to invoices issued after June 16, 2022, and only to detention and demurrage charges; and that the safe harbor provision applies as “[e]ach of the invoices issued after OSRA 2022’s effective date included as an attachment proof of payments to third parties for the invoiced charges.” Opposition at 33-34.

c. Analysis

Respondents assert that “TPG is not entitled to recover under OSRA 2022 for charges other than demurrage or detention, and it fails to establish any legal argument to the contrary.” Opposition at 34. TPG’s revised damages chart has four sheets showing: a summary, demurrage, storage, and chassis charges. The storage and chassis sheets do not include dates, making it harder to identify the charges from after June 16, 2022. This may be tacit acknowledgement that the storage and chassis charges were not impacted by OSRA 2022. Moreover, section 41104(a)(15) explicitly refers to detention and demurrage charges. TPG has not argued that this section applies to the storage and chassis charges; therefore, the focus will be on the charges listed in the revised damages chart, demurrage sheet.

TPG has not established that Respondents imposed their own demurrage charges. Rather, the evidence shows that Respondents passed-through charges from other entities, such as Maher Terminals, and that Respondents marked up those charges. Although the safe harbor provision states that it applies to invoices from ocean common carriers, the same logic would apply to invoices from marine terminal operators. While invoices for some transactions may be missing, the preponderance of the evidence suggests that this is an issue of a missing document, not that Respondents were the entity imposing the underlying demurrage charges.

As the entity that passed through charges from common carriers and terminals, Respondents could only pass through information they received from those entities. The evidence shows that those other entities often did not provide the level of detail desired by TPG, nor now required by the Shipping Act. However, NVOCCs passing through charges are not required to provide more than what they received from the underlying carrier. Therefore, TPG has not established that Respondents violated section 41104(a)(15).

D. Reparations

1. Parties' Arguments

In its brief, TPG seeks a total of total of \$844,712.63⁴ calculated by adding demurrage charges of \$543,445.69, storage charges of \$139,728.19, and chassis charges of \$161,538.75. Brief at 30-31. TPG seeks damages both for unreasonable charges, including markups, and for charges caused by TPG's failure to avoid unnecessary charges. Brief at 27. TPG identifies \$18,367.10 as costs caused by Respondents' improper withholding of three containers. *Id.*

Respondents assert that TPG seeks to recover damages arising out of shipments over which the Commission lacks jurisdiction because they did not enter the United States through a United States port and TPG fails to establish proximate cause or establish its damages with reasonable certainty. Opposition at 21-33. Respondents argue that TPG does not make any effort to explain how the demurrage charges it paid could have been avoided and Commission precedent requires this showing on a shipment-by-shipment basis; chassis charges were included in agreed to quotes and terms, and Respondents provided in-gate and out-gate receipts; storage charges are likewise for the account of TPG; and TPG also fails to prove its damages with reasonable certainty. Opposition at 25-33.

In its reply, TPG seeks \$584,837.29 in unjustified demurrage and other ancillary charges, and argues that TPG properly substantiated its damages; Respondents are responsible for any gaps in the record; the shipment-by-shipment approach is not required; claims for chassis fees and storage fees are proper; and TPG's damages are calculated with reasonable certainty. Reply at 34-39.

In their sur-reply, Respondents contend that TPG submitted new evidence and raised new arguments about certain evidence that TPG did not raise in its opening brief; TPG quietly advances a new theory as to its damages that was not set forth in its opening brief; and TPG continues to claim damages for amounts that Respondents charged but which TPG has not paid. Sur-reply at 3-8.

In its sur-reply response, TPG asserts that TPG's damages theory remains consistent and Respondents have failed to rebut it; Respondents' supplemental evidence does not establish that they adhered to just and reasonable practices; and Respondents improperly invoiced TPG \$584,837.29. Sur-reply Response at 5-8.

2. Relevant Law

The Shipping Act requires that the "Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation" of the Act. 46 U.S.C. § 41305(b). Complainants bear the burden of proving that they are entitled to reparations. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). "As the Commission has explained: '(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation

⁴ The brief states \$847,712.63; however, this appears to be a typographical error.

in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *MAVL Capital*, 2022 WL 2209421, at *3 (citations omitted).

Reparations are awarded for actual damages. “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *MAVL Capital*, 2022 WL 2209421, at *3 (quoting *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Docket No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3. “Actual injury” also includes the loss of interest compounded from the date of injury. 46 U.S.C. § 41305(a); see also *Gruenberg-Reisner FMC*, 2016 WL 11942284, at *10.

The statements of the Commission in *California Shipping Line, Inc.* and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principle that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co., Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992) (admin. final, Dec. 31, 1992).

Demurrage and storage fees have been awarded as reparations in circumstances like the present. For example, in *Total Fitness*, the Commission awarded storage fees as damages, explaining that “holding up the cargo . . . was not an appropriate means of debt collection” and that the NVOCC’s unreasonable actions were thus “the direct cause of the storage fees” complainant had to pay. 1998 WL 940255, at *12. That decision found that the storage fees:

[A]rose from Worldlink’s unreasonable decision to impose a double billing on the cargo and its refusal to release the cargo until the second billing was paid. As such, the storage fees accrued as a direct result of Worldlink’s unreasonable practice. The storage fees, paid like the port fees in *Corpcor* by the shipper, may therefore be awarded as damages arising as a consequence of the unreasonable practices of Worldlink described above.

Total Fitness, 1998 WL 940255, at *12. In the *Corpcor* decision referenced, the “Commission ruled that the failure to pay the transshipment costs was an unreasonable practice, and that the port fees, which the shipper had paid, were attributable to the NVOCC’s unreasonable practice and could therefore be awarded as damages.” *Total Fitness*, 1998 WL 940255, at *12 (describing *Corpcor Int’l Inc. v. Straightway, Inc.*, 28 S.R.R. 296, 299-300, 1998 WL 940257, at *6-7).

Where charges are improperly marked up, the reparations amount is “based on the difference between the demurrage charges [respondent] paid to third parties and the amounts [respondent] billed to [complainant].” *CMI Distribution*, 3 F.M.C.2d at 99, 2021 WL 9204113, at *17. The shipper’s “actual injury” is “whatever it paid the NVOCC, less whatever payments were made by the NVOCC that the shipper would otherwise have had to pay.” *Graniteville Co. v. Scarade, Lines*, Docket No. 16647(I), 25 S.R.R. 1330, 1331 (FMC Jan. 24, 1991). “Subtracting from the reparations the pass-through charges the NVOCC paid on the shipper’s behalf also prevents the shipper from unfairly receiving a windfall.” *CMI Distribution*, 3 F.M.C.2d at 100, 2021 WL 9204113, at *17.

3. Reparations Analysis

TPG submits a revised damages chart that identifies the shipments for which it seeks damages. CApp 11019 (revised). TPG also asserts that each of the three containers withheld due to coercive collection practices incurred \$1,265 in chassis fees and \$4,947.36 or \$4947.37 in demurrage charges. Brief at 27. Respondents assert that TPG has failed to pay \$390,336.80 that TPG was invoiced by Respondents. Sur-reply at 8.

TPG has not established that the amounts it was invoiced for chassis or storage were unreasonable or violated the Shipping Act, except for the charges associated with the three withheld containers. Therefore, the remainder of the damages listed on TPG’s damages chart, on the chassis and storage sheets, are not improper. TPG has established that markups of the detention and demurrage charges violated the Shipping Act and were improper. Those damages are discussed below as part of the markups analysis. Next, TPG’s request for damages for coercive collection practices is discussed, followed by a discussion of unpaid fees and additional amounts. Because the improper charges are less than the amount that TPG failed to pay Respondents, no reparations are ordered.

a. Markups

The calculation of improper markups is based on the difference between the demurrage charges Respondents paid to third parties and the amounts Respondents billed to TPG. Therefore, the total measure of markups is not the total amount the Respondents billed TPG, as suggested by TPG and as calculated in their damages chart. Rather, the amount Respondents paid on behalf of TPG must be subtracted.

The amount that Respondents paid to third parties is established either by credit card receipts, third-party invoices, or other payment summaries. TPG argues that “Respondents failed to provide any supporting documentation that would confirm whether charges were pass-through or originated by Respondents for at least 20 invoices.” Reply at 31 (*citing* CApp 2487-2505, 2517-18, 2603). A number of these cited pages are not on TPG’s revised damages chart, demurrage sheet. *See, e.g.*, CApp 2487-90, CApp 2603. Where the parties have not provided and identified evidence showing the demurrage paid by Respondents for containers, the entire demurrage cost invoiced to TPG for the relevant container is listed as a markup. This is appropriate in this case because of the numerous times that Respondents billed TPG for demurrage in excess of the payments actually made by Respondents. *See CMI Distribution*, 3 F.M.C.2d at 99, 2021 WL 9204113, at *17 (Commission identified receipts for demurrage paid

by Respondent but did not criticize initial decision findings awarding full amount of demurrage charged where no evidence had been identified to support the charge (*CMI Distribution*, 2019 WL 4734318, at *18 (ALJ May 24, 2019))).

Respondents assert that TPG improperly refused to pay any charges when any small portion of an invoice could not be documented. TPG's damages charts continue with this approach. For example, the revised damages chart, demurrage sheet shows that for invoice 7217739 00, TPG was invoiced \$59,789.47 for 18 containers, while the receipts show APM Terminals charges of \$56,800. CApp 11019; CApp 6424-26. In reparations, TPG seeks \$59,789.47, the total amount for which TPG was invoiced. However, because there are receipts for \$56,800, that amount was clearly paid on TPG's behalf by Respondents and unless there is some other reason Respondents are responsible for those charges, the most TPG could obtain in actual damages is the difference, or \$2,989.47. To award the full amount sought by TPG would allow it to obtain a windfall.

TPG also erred in its damages request by failing to reflect credits it received for charges. These errors were not apparent on the face of TPG's damages chart, because TPG organized its damages by invoice number, and it did not include the container number as a column within the same chart. In calculating alleged damages, container number is a vital unique identifier, and in the future parties should calculate and present similar damages requests with the container number identified. For example, invoices 7203111 00 and 7203111 01 both pertain to container HLB03359426 and show that the demurrage charge of \$682.50 was refunded in full. CApp 4172; CApp 5008. Refunded charges should not have been included in TPG's demurrage claim. In other instances, TPG listed an invoice showing a demurrage charge, but did not point to evidence in the record showing payments made by Respondents. These types of omissions would have been more readily apparent if TPG had organized its damages request by container number. TPG would obtain a windfall if reparations were ordered for amounts that were already refunded to TPG or where the evidence contains proof that payments to third parties were made by Respondents. These and other errors have, therefore, been corrected as well as possible in the improper markups chart included as the last finding of fact above.

As shown by the improper markups chart, Respondents repeatedly charged TPG more than what is supported by the proof of payments in evidence. These markups ranged from \$5 to over \$5000 per container and do not appear to be a consistent percentage markup. In total, Respondents overcharged TPG for demurrage by a total of \$86,722.10 as shown by evidence in the record.

To support the charges invoiced to TPG above the amount paid by Respondents, Respondents argue that they "were required to pay VOCCs and MTOs by credit card, and those vendors assessed a credit card processing fee of 3% of the total amount paid." Opposition at 11, citing RPF 96-97. The cited proposed fact points to deposition testimony, which says:

And then as far as the terminal, demurrage storage, that we can provide a receipt. However, I did mention to their accounting team that it might be off by a -- a few percent, right. You -- you have to pay online and you -- you get charged, like, a credit card processing fee to do so.

CApp 10307.

For the containers included in the improper markups chart, the evidence shows that even when credit card fees were shown on credit card receipts, Respondents invoiced TPG a higher amount than shown on the receipt. For example, for container BEAU6227719, the Maher Terminals receipt shows \$5,008 paid plus a “Credit Card Processing Fee” of \$199.82 for a total of \$5,207.82; however, Respondents invoiced TPG \$5,468.21 in demurrage for this container. CApp 8294; CApp 7469. Therefore, the markup is the invoiced amount of \$5,468.21 minus the demurrage paid of \$5,207.82, which equals a markup of \$260.39.

Similarly, for container CSNU6785143, the Maher Terminals receipt shows \$858 plus a \$34.23 “Credit Card Processing Fee” for a total of \$892.23 plus Mecca Trucking demurrage charge of \$382.68 plus \$30 “Admin Fee” for a total of \$412.68; however, Respondents invoiced TPG demurrage of \$1,650.84 plus demurrage of \$412.68. CApp 8011, 9109, 9965, 9968. Therefore, the markup is the invoiced amount of \$2,063.52 minus the demurrage paid of \$1,304.91, which equals a markup of \$758.61.

Respondents also contend that “TPG also appears to include ‘detention’ charges in the ‘demurrage’ column in its Shipment Chart.” Opposition at 34 (citing row 900). Row 900 of the original shipment chart refers to invoice 7204085 01, which is also listed as an invoice for which TPG is seeking reparations in its revised damages chart. This invoice is omitted from the improper markups chart because here Respondents charged TPG the same amount that they paid. CApp 9999; CApp 10005. Inclusion of detention in the reparations would not otherwise have been improper though. This argument thus is rejected on both a legal and factual basis.

In a small number of cases, TPG did point to invoices for drayage as opposed to demurrage, and the drayage charges were not included in the improper markups chart. CApp 8256; CApp 8257. For some of the improper markups chart entries, the proof of payment contains the word “storage;” however, the weight of the evidence demonstrates the proof of payment represents payments made for demurrage. *See, e.g.* CApp 4843; CApp 3905. Also, in a small number of instances, there is no container number listed on Respondents’ invoice to TPG and the container number was not otherwise able to be determined through evidence in the record. *See, e.g.*, CApp 5792. In such cases, a markup is still calculated because matching receipts could not be found due to the lack of container number, which should have been provided by Respondents in the first instance. Likewise, documents that do not provide sufficient detail to show the amount actually paid by Respondents to third parties for the container in question have not been credited as a payment made by Respondents. *See, e.g.*, CApp 6003-4 (listing CMAU7895089 among other container numbers; however the document neither shows the value paid for this container, nor does it demonstrate that the payment was confirmed).

The last finding of fact, the improper markups chart, calculates the improper charges for which Respondents invoiced TPG, to the best that can be determined from the evidence in the proceeding. The lack of Bates numbers on the damages chart, as well as the lack of clarity in the evidence, make determining this amount challenging. However, determining reparations “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3.

b. Coercive Collection Practices

As discussed above, Respondents unreasonably withheld three containers as part of their coercive collection practices. The evidence shows that all three containers were released from APM Terminals, which charged \$4,700 in demurrage for each container. CApp 6611. The first container, CMAU4830227, was picked up by Mecca Trucking on May 10, 2022, delivered on May 27, 2022, and the empty container returned on June 1, 2022. CApp 3559-61; RApp 181. For container CMAU4830227, Respondents billed TPG \$1,265 in chassis fees, \$4,947.36 in demurrage charges, and \$765 in storage for total invoice charges of \$6,977.36. CApp 3557.

The second container, CMAU4265316, was picked up by Mecca Trucking and delivered on May 27, 2022. CApp 6427; CApp 6611. For container CMAU4265316, Respondents billed TPG \$1,265 in chassis fees, \$4,947.37 in demurrage charges, and \$765 in yard storage for total invoice charges of \$6,977.37. CApp 6427.

The third container, DRYU9980059, was picked up by Mecca Trucking on May 10, 2022 and delivered on May 27, 2022. CApp 3554; CApp 6611; RApp 179-81. For container DRYU9980059, Respondents billed TPG \$1,265 in chassis fees, \$4,947.37 in demurrage charges, and \$765 in storage for total invoice charges of \$6,977.37. RApp 179.

Respondents invoiced TPG \$20,932.10 for demurrage, storage, and chassis use for these three containers. As shown by the changes to the revised damages chart, chassis sheet, each shipment incurred \$90 in chassis charges. Therefore, \$90 can be subtracted from each of the three shipments.

As discussed above, these charges were caused by the coercive collection practices of Respondents. Therefore, the charges of \$20,662.10 for the demurrage, storage, and additional chassis use for these containers were improper and violated the Shipping Act. These containers were removed from the improper markups chart above, so that they are not counted twice when calculating improper demurrage charges.

c. Unpaid Fees and Additional Amounts

The evidence shows that TPG was charged \$86,722.10 as markups on pass-through demurrage amounts plus \$20,662.10 as charges for coercive collection practices for a total of \$107,384.20. The evidence does not support finding improper charges for other demurrage, detention, chassis, or storage charges.

Respondents assert that TPG has failed to pay \$390,336.80 that is owed. Sur-reply at 8. TPG does not contest that amount; rather, it contends that it is not liable for these charges as they are the result of unjust and unreasonable practices and suggests that the “unlawful amount could be offset with the lawful amount due” and requests that a cease-and-desist order be issued. Sur-reply Response at 5, 8.

Under Commission case law, “the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation.” *James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, FMC Docket No. 94-32, 2003 WL 22067203, at *7-8 (FMC Aug. 26, 2003) (quoting *Waterman v. Stockholms Rederiaktiebolag*

Svea, 3 F.M.B. 248, 249 (1950)). The uncontroverted evidence shows that TPG has not paid Respondents' outstanding invoices in the amount of \$390,336.80. RApp 3 ¶¶ 21, 23; RApp 5-6. Because the improper charges of \$107,384.20, established by TPG, are less than the amount that TPG owes Respondents, the evidence does not show proof of pecuniary loss resulting from the unlawful act, so no reparations are ordered.

In the sur-reply, for the first time, TPG asserts that the Commission could order Respondents to pay additional amounts not exceeding twice the amount of the actual injury. This provision only became applicable to violations of section 41102(c) in OSRA 2022 and, therefore, would only apply to the few violations after June 16, 2022. However, TPG raises this argument late and has not established that such an increase in damages would be appropriate, especially here where TPG has not paid Respondents all of the amounts that were invoiced. There is no evidence that Epic would continue with practices that violate the Shipping Act; therefore, no cease and desist order is issued.

IV. ORDER

Upon consideration of the record herein, the arguments of the parties, the findings and conclusions set forth above, and the determination that Epic violated the Shipping Act, it is hereby

ORDERED that TPG's complaint against Omni be **DISMISSED**. It is

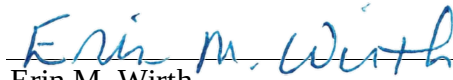
FURTHER ORDERED that TPG's complaint against Epic be **GRANTED** due to markups on pass-through invoices and coercive collection practices. It is

FURTHER ORDERED that Epic is not ordered to pay TPG reparations for improper charges of \$107,384.20, as TPG has not paid those amounts to Epic. It is

FURTHER ORDERED that the joint renewed motion requesting confidentiality be **GRANTED**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge